Coal India Ltd. (COALINDIA)

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Call: Nov 2023

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Ref.No. CIL:XI(D):4157/4156:2023: Dated:23.11.2023

To,
Listing Department,
Bombay Stock Exchange Limited,
14th Floor, P.J. Towers, Dalal Street,
Mumbai – 400 001
Scrip Code 533278 To,
Listing Department,
National Stock Exchange of India Limited,
Exchange Plaza, Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051.
Ref: ISIN – INE522F01014

Sub: - Transcript of Investors' meet for CIL's post Q2 FY24 Results as per Regulation 46 of Securities Exchange board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, ("Listing regulations 2015")

Dear Sir,

Further to our letter no CIL:XI(D):4157/4156:2023: dated 22.11.2023, we are enclosing transcript of Investors' meet held on 21st Nov'2023 for "CIL's post Q2 FY24 Results" as Annexure A .

This is for your information and record.

Yours faithfully,

(■■ ■■ ■■■■/B. P Dubey)
Company Secretary/ ■ ■ ■■■ ■■■■
Encl: As above & Compliance Officer/ ■àÜ■■■■■ ■■■■■

“Coal India Limited
Q2 FY ’24 Earnings Conference Call”
November 21, 2023

MANAGEMENT : M R. P.M. PRASAD – CHAIRMAN – COAL INDIA LIMITED
MR. DEBASISH NANDA – DIRECTOR BUSINESS DEVELOPMENT AND DIRECTOR OF FINANCE , ADDITIONAL CHARGE – COAL INDIA LIMITED
MR. MUKESH CHOUDHARY – DIRECTOR MARKETING – COAL INDIA LIMITED
MR. S.K. MEHTA – CHIEF FINANCIAL OFFICER , ED FINANCE – COAL INDIA LIMITED
MR. B.P. DUBEY – COMPANY SECRETARY – COAL INDIA LIMITED

MODERATOR : M R. ROHIT NATARAJAN – ANTIQUE STOCK BROKING

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '24 Earnings Conference Call of Coal India hosted by Antique Stock Broking. There will be an opportunity for you to ask questions after the presentation concludes.
I now hand the conference over to Mr. Rohit Natarajan from Antique Stock Broking. Thank you, and over to you, sir.
Rohit Natarajan : Thank you, Zico. Good evening all, and thanks for logging in the call. We are pleased to host Shri P.M. Prasad, Chairman CIL, for the investor call post Q2 FY '24 earnings and to discuss his views on the coal sector. Along with him, we have Shri Debasish Nanda, Director Business Developmen t and Director of Finance, Additional Charge; Shri Mukesh Choudhary, Director Marketing; Shri S.K. Mehta, CFO, ED Finance; Shri B.P. Dubey, Company Secretary.
Now I hand over the call to Shri B.P. Dubey, Company Secretary, CIL. Over to you, sir.
Bijay Pra kash Dubey : Thank you, Mr. Natarajan. I extend a warm welcome to all the participants to the conference call. CIL's top management led by Shri P.M. Prasad is there to address all the queries. The corporate presentation is in NSE and BSE website and also on the website Coal India Limited. The con call is expected to have a duration of around is 1 hour. I request all the participants to kindly adhere to the time line.
I request Mr. Natarajan to kindly -- before the meeting, I request the Chairman for his ope ning remarks.
P M Prasad: Mr. Natarajan and all the participants, Jai Hind, a very good evening. And we welcome from Coal India. And we are ready, and whatever queries we are ready to answer. And with the encouraging H1 results both in coal production, di

s patches and overburden removal and overall dispatches and also to powerhouses. Almost as per schedule, we are going, both Q1 and Q2. Our H1 is completed. And even month of October and November, Q3 is also, as per schedule we are growing. And as per the tar get of 780 million tons this year, we are progressing. Now over to you, we can...
Bijay Prakash Dubey : Mr. Natarajan, you can probably start with Q&A session. I request participants to kindly introduce themselves one by one. Thank you.
Moderator: Thank you . Our first question is from the line of Amit Dixit from ICICI Securities. Please go ahead.
Amit Dixit : Yes. Congratulations for a good set of numbers. I have 2 questions. The first one, if I look at the subsidiary -wise volume for this year, so until Octo ber, what we have seen that MCL's volumes have remained quite flat, I mean, say, 1% growth YTD October. And I just wanted to understand what's going on over there because MCL was a subsidiary that showed very good growth over the past 2 years. So have we h it a plateau or something? Or what kind of long -term growth plans

you have for the subsidiary? Also if you could highlight the incremental volume growth we can expect for BCCL? That would be great. This is my first question, sir.

P M Prasad: Number one, in MCL, there was a land issue in 1 of the fields, Basundhara coalfield. From July 2 to almost July 27, almost 26 days, that field was stopped by villagers in demand of higher compensation of the land and other things, employment. We are -- immediately, from 2nd from 3rd, it was flagged Chief Secretary, Odisha and Ministry of Coal. But somehow, it was -- almost 3.5 weeks it has taken to settle. And the Team MCL and Team Coal India quite sure that target of 204 million will be ensured. And MCL, initially, it w as lagging even in August, September, but now it has turned around and the company is in a growth trajectory. And we are pretty sure that it will do 204 million. There is no doubt, number one.

Number two, overburden, it is doing well. And other land issues, small issues, we are taking care. In case of BCCL, yes, it is in last 2 years, it is also stellar growth in the company, 36.18 million last year and 41 million this year we have to do. And with a growth of 11%, it is quite on course. There is, righ t from first month onwards. BCCL has steady growth. And BCCL will let you all the 3 parameters: production, coal dispatches to railway sector, power plants and also OBR, all 3 it's going well.

Amit Dixit : So basically, you mentioned 41 million tons is the target for the year?

P M Prasad: Yes.

Amit Dixit : Okay. Sir, the second question is on e -auction. So what is our targeted e -auction volume for the second half of the year? And if you could highlight the latest e -auction premium over notified price that is currently going on, on an average?

P M Prasad: It is a percentage of premium was -- notified price, it is 90% at -- overall as Coal India as a whole. In BCCL it is 56%; ECL, 71%; CCL, 114%; NCL, 114%; Mahanadi, 107%. It is almost 90% premium over notified price whereas [Quanti] offered in that -- whatever we offer, what the 51 million, 45.6 million was booked. So primarily, we have to supply these power plants and then we have to balance this e -auction. Both goes together. In power plant, we are supposed to give 610 million. We are quite sure that we will be committing and we will be fulfilling 610 million. And after that, this e -auction and other than that, supplies to RINL also we are taking care.

Amit Dixit : What do you expect e -auction volume to be for s econd half of the year, H2?

P M Prasad: 15% of production, you can say, roughly.

Amit Dixit : 15% of production. Okay. And the current e -auction premium, you are saying is 90%?

P M Prasad: 90%.

Amit Dixit: Okay, fine. Thanks a lot. I will come back in the q

ueue. And all the best. Thanks.

Moderator: Thank you. Our next question is from the line of Alok Deora from Motilal Oswal . Please go ahead.

Alok Deora : Sir, I just had a couple of questions. Firstly, on the e -auction premium, which you mentioned about 90 %, it has been a little volatile, where it went to around 50%, 60% in a few months back. So how do we see the e -auction premium moving ahead for this financial year?

P M Prasad: Right now, it is moving ahead quite well, but it depends on many factors: one is the demand; and number two is other international prices, markets, import quantities. But as of now, the demand is there and we are quite sure the price consideration of imports is also being taken care. We are looking into that also. But the quantities are almost being booked.

Alok Deora : Got it. And sir, this offtake has been pretty robust this year. So could you just comment on how the demand is right now in the last couple of months? How is it -- is the momentum continuing? Or any change you have see n in the demand pattern from across the MDO segment?

P M Prasad: It is in October month alone, 33% coal -based power growth is there. And it is -- but for sure, until monsoon, it will continue. The way, the demand and the railways, power sector and our coal sector being build up, almost weekly twice or thrice the subgroup meetings are being held regularly to monitor that there is no shortage on account of coal supplies. And we are taking care. And almost it is every week, at least twice or thrice the subgrou p, with all the 3 ministries, it is being taken care.

Alok Deora : Got it, sir. Sir, just 1 last question. You actually mentioned about the e -auction volume for second half. So that 15% you mentioned is for the second half, right?

P M Prasad: Yes, H2.

Alok Deora: Okay. That's all from my side. Thank you.
Moderator: Thank you. Our next question is from the line of Digant Haria from GreenEdge Wealth. Please go ahead.
Digant Haria : So my question is, sir, the last time in the call, you said that the improved p rofitability that we have seen over the last 4, 5 quarters is not because of abnormal profits on e -auction, but it is because of efficiency in the whole Coal India ecosystem. Sir, can you just elaborate more that is this efficiency just coming out of the l ower employee cost? Or is our mining operation getting more and more efficient? And how much more can we get out of just this efficiency part? That's my question one, sir.
P M Prasad: In the case of explosives and diesel, we are incurring less cost compare d to previous year. This is one thing. Employee cost, though there is wage revision is there, that we have taken into consideration. But other factors, it is being curtailed. And the employee, overall manpower, we are having a slight reduction. Though the sales -- wages is there, but other factors like sales realization, it is there. And cost per ton, there is not much increase whether it is -- decrease of 1% cost per ton produced.
Volumes -- since volumes have increased, both in case of dispatches, so our sales realization is being done and the overall production so that our stocks are also improving at our end. And

recently, last 15 days trend, in this month, particularly, about th ree million -plus power plant side also, the coal stocks are also being increased.
Digant Haria: Okay. Okay, sir. Sir, and the second question was that if we do reach our target of 1,000 million by -- in the next two, three years, do you see that there will be enough demand for so much coal in India itself? Or we'll also have to look for more routes like export or something?
P M Prasad: Enough coal -- enough coal for this up to 2030. There is absolutely -- there is no doubts. Future is very secured and there is a heavy demand.
D

igant Haria: Sir, so basically, whatever we can mine, we can sell. That is what you are trying to say, right?
P M Prasad: Definitely. Next six to seven years, absolute, there is no issue. But rather, I will say, it is up to 2040 also. But immediately, we will keep up to 2030 the projections, for next six, seven years.
Digant Haria: Okay. Okay, sir. Sir, and lastly, like do we see this 1,000 million this target by March '26, March '27, where do we see this -- our company reaching this go al?
P M Prasad: Yes. We are progressing. Last year, 622 to 703, we are there. And again, in this year, 44 million in first seven and half to eight months, it is -- we are witnessing. So 780 -- so next year it is 850.
So incrementally, we are growing 11%, 1 2%.
Digant Haria: Right. Okay, sir. All the best. Thank you.
Digant Haria: Thank you.
Moderator: Thank you. Our next question is from the line of Hardik Jain from Whitestone Financial Advisors Pvt Ltd. Please go ahead.
Hardik Jain: Yes, good evening, sir. Thank you for the opportunity. Sir now we have two subsidiaries, CIL Solar PV Limited and CIL Navikarniya Urja Limited. So how much capital are we planning to infuse in the subsidiaries over the next two to three years? And what are our capex plans there over the next two to three years in these two subsidiaries?
P M Prasad: Yes. See, much is being increased because this is in a solar we are entering, basically. Our net zero is, we have to go by 3,000 megawatts. So by this year -end, 250 megawatts we will be doing out of these 3,000. And one we have given in Gujarat, 100 megawatt. And one in Rajasthan, we are in discussions. But due to the elections, last two, three months, it is getting delayed. They're about 119 megawatts we have to -- we are in discussion. And 900 megawatts they already agreed if we install at INR2.64.
So it is in different stages and identification of land banks, especially 300 acres at two places in the WCL and few places in SECL. And floating solar with the UPRVUNL in this Rihand dam, Similarly, one place in Hirakud also, we are in talks with Orissa. So we are in different stages of planning, and we will be increasing. So capex as a whole for Coal India, it is INR16,500 crores. But with these two subsidiaries since the last three years on ly, we have started this solar, we will be going in a phased manner.

Hardik Jain: Okay. So this, say, over the next four to five years, if we have to do this 3,000 megawatt solar projects into two subsidiaries, which will be broadly around INR15,000 to INR 18,000 crores just in solar, where equity contribution will be around, say, 30%, INR5,000 crores, INR6,000

crores, INR7,000 core. And rest will be, I think subsidiaries will take the debt for the capex, right?
P M Prasad: It's not exactly subsidiaries. Fir st, we will get the orders. Coal India as a whole, I told INR16,500 crores is this year's capex. In this maybe, as a whole, if you see, maybe INR500 crores, INR600 crores to -- as we ramp up the solar, that we will take care of this capex.
Hardik Jain: Right. Okay. And sir, in the annual report, you mentioned that our production target for FY'25 is 840 million tons. So for next year, what will be our FSA commitment? So what I understand is, as we incrementally increase our production, our proportion of e -auction will increase or our quantity of e -auction -- the quantity that we offer for e -auction should increase over and above our FSA commitment?
P M Prasad: Yes, yes. It is going to increase 10% to 15% to 20% range, it will be there. So that we have to first fulfil parallelly the commitments of our sector. And parallelly, we will see this 15% to 20% range in each FSA.
Hardik Jain: Yes. So you mentioned that our FSA commitment for this year is, say, 610 million ton, which may increase a little bit next year. So if next year, we produce 840 millio

n tons. So our e -auction
increase in a good way, right?
P M Prasad: It will increase. It will increase in the same pro rata percentage, 15% to 20%.
Hardik Jain: Okay. And sir, government recently, we read in newspapers , they want to mine other metals like say, lithium, cobalt and other rare earth minerals. So how do you see this opportunity for Coal India? And are we doing anything to tap this opportunity?
P M Prasad: There are plenty of opportunities. This is a new fie ld. Our team is also visited twice to Australia, Director BD and the team has visited. And that is at different stages. One is fully explored, that typical minerals, and others is to be explored and entirely greenfield. So the opportunities are there. Due diligence is being done at our level.
Hardik Jain: Okay. And sir, as we increase our production, most of this increment will be contributed by open cast mining? Or we'll have to do underground mining also as we move forward and increase our production?
P M Prasad: At present, our underground share is very less, 25 million tons only. So there is a target of increasing from this 25 million tons to 100 million tons by 2030. So we are focusing on underground especially with continuous mines -- this mass product ion technology, increasing mass production technology. So that much portion, environmental angle also is taken care.
Hardik Jain: But the cost -- what would be the cost difference in, versus open cast mining versus underground mining?

P M Prasad: The cost difference is definitely there. If it is 1,000 tons our cost of production, if it is open cast, 8,000 tons to 9,000 tons -- underground maybe 2,100, 22,00. But we have to see the deeper deposits have to be done by underground only. There is initially our m echanization was a little lagging. But now with the mass production technology with continuous miners, two mines like Jhanjra and this Moonidih. Similarly, in SECL, a few mines are there, continuous miner, and Churi underwound one single continuous miner i s also doing at least seven lakh tons per annum, and with proper care of the environment. There the dust pollutions are less. The land degradation is almost nil, zero.
Hardik Jain: Right. And sir, last question is we have already started doing e -auction our own platform, coaleauction.co.in. So going forward, we'll do all our e -auctions on our own platform or we'll be using third -party platforms from companies like MSTC?
P M Prasad: We are using our platform and we are going to be independent of that. Part ly MSTC right now, we are taking their help, but we are also developing from CMPDL, our -- from Ranchi. By next year, we will be phasing out.
Hardik Jain: Okay. Thank you, sir. Thank you.
Moderator: Thank you. Our next question is from the line of Ashish K ejriwal from Nuvama Wealth Management. Please go ahead.
Ashish Kejriwal: Yes, hi. Good evening, everyone. Thanks for organising this call. That's really appreciated. Sir, a few questions from my side. You have mentioned about volume target, which is someth ing like 12% Y -o-Y growth. So you are talking about, first of all, it's on a production target or offtake target? Because YTD, we have seen offtake increasing by just 9.5%. So and now the base will also increase from November onwards. So it is just some of the increase also seems to be difficult. Then what could be our realistic volume target for this year? That's my first question.
P M Prasad: Volume target -wise target is 780 million ton coal production. 780 million ton dispatch also we are supposed to do. But till now production target is -- production achievement is around 12%, and uptake is 9% only, as you have rightly seen and noticed. Because of the rainy season, there will be generally -- July, August, September, there will be a little less.

Right now , we are peaking up and almost the festival season

is almost ended. And up to Holi
there is no distractions. The volumes of dispatches is also going to pick up, and it is being picked
up in MCL, SECL, where the high volume of dispatches is expected. We are right now peaking
it. And we will be achieving our dispatches target also.
Ashish Kejriwal: Sir, reason being why I'm saying so because on an average also, on a month, we can do 60, 65
million tons maybe in a month. And if I do that calculation, our growt h rate because of the high
base of last year, it should come down by -- come down to 5% to 6% rather than 10% or 12%,
which is required at least. So that's why -- what could be the probable or a realistic target, which
we can achieve by looking at the mont hly run rate which we have achieved so far?
P M Prasad: First thing you have to understand, this dispatch target, it depends on other factors also, other
power plants lifting come outside other than the railway. In railway and at two areas, in Korba

distri ct, in SECL, three more mega projects are there. In Mahanadi, there is a little shortage of a
rakes on a daily basis. Even in rainy season, we are supposed to load end number of rakes, we
are getting in both these coalfields only, five, five rakes less.
So everyday loss is a loss at that particular place. But however, in CCL, BCCL, ECL, NCL,
from railways end, there is no issue. Only at two fields in SECL, MCL, there is an issue. But it
will be peaking up. And overall, if you do, say, 67, 65 even by your un derstanding also, if we
can start, will be increased at our end. Right now, it is 40, 41 million. Last year, it has went up
to almost 65 to 69 million. Now it is 41.
So this 30 million, even if it ends -- even if it builds up at our end. And more plant sid e also, it
is 20 million right now. Our target is to build there also at around 38 million. If we are there at
38 million. So at least 18 to 19 days, 20 days stock will be there. So in any case, first volumes
has to come -- move from beneath the ground to surface and vis -a-vis from there to power plants.
And we should focus and we will focus.
Ashish Kejriwal: Sure. So second question is on the basis of the current evacuation facility, how much maximum
we can sell?
P M Prasad: You question about facility I a m just telling you. In three, four subsidiaries, as such, there is a
facility where there is no issue. There's CCL, I'm just telling an example. Tori -Shivpur line,
second line has been commissioned, third line is also going to be commissioned. There, the
company is doing 84 million, but we have developed at least 110 million evacuation facility
whereas in some subsidiaries, a little less. So almost we will be targeting right now about 320
rakes per day. So it will be gradually, we will be touching up to 330 rakes, 340 rakes.
Evacuation, wherever it is less, even CERL, one line at Raigarh, which has been recently
commissioned by -- Honourable PM has inaugurated. Similarly, the third line is also be
commissioned in Jharsuguda -Barpali. In MCL, one line is being under construction. Similarly,
CEWRL -- Chhattisgarh East West -- CEWRL. So different railway lines under different
subsidiaries are also under construction. And one BT for us to achieve these railways
connections and the other railway sidings and FMCs, a lmost all parallel activities are being
undertaken. For that also yearly target, quarterly and half -yearly targets, developmental activities
is also being monitored. If those are taken care, this evacuation wise there will not be any
problem.
Ashish Kejriw al: Okay. So sir, to sum it up, I think from the evacuation side, if demand purchase, we can do 780
as well as 840 also next year. That's right?
P M Prasad: Definitely.
Ashish Kejriwal: Okay. The second question is on the employee cost. Though we have already renegotiated and
everything has been more or less done, but there was

some issue on account of offices and non -
offices. So first of all, the status of that? And secondly, is it possible to guide us on the total
employee cost which one can expect th is year?

Management: The employee cost about -- it will be 46%, 46,000 crores. And percentage -wise also 40% --
overall less than last year.
P M Prasad: So employee cost -wise, there is no issue with the growing volumes. And that is a settled thing.
That is internal -- there was some DP circular -- some conflict is there. But that is being taken
care of and we are also addressing this. So about INR46,000 crores is the employee most of the

total volume.
Ashish Kejriwal: That's great. And then lastly, while we are doing fantastic in terms of First Mile Connectivity project, we are investing close to INR25,000 crores in that. So though it is beneficial from the environmental side as well as increasing the evacuation facility properly. But is it possible to share some kind of savings in terms of numbers, what we can earn or what kind of payback period we can have on this investment of INR25,000 crores?
P M Prasad: INR24,700 crores in a six years to seven years' period. Right now, we are having an installed capacity up to 2.8 million. And every year it will be adding -- by NEERI, National Environment Engineering Research Institute of Nagpur has done the study in two projects. One is in Kusmunda and one is in Lingaraj. In both the fields, only two projects after that commissioning, we are saving, say, in one project INR25 crores and another project INR50 crores for one year only. More than that, the dust emissions and NOx both nitrous and other carbon emissions, there was controlled -- it was reduced by 75% to 80%. Tha t is huge.
So it is not that only capex recovery are -- this thing, but this environmental factors play a greater role. So in each area, whenever this tipper density is reduced, number one, safety is increased. And this dust pollution and other diesel savings, everything is there. So the payback period -wise, parallelly every six months, three months, it will be the -- whatever cost we are incurring, it will be recovered. And it will help not only in environmental, safety -wise also it is increasing. So there is a dense population is also going through. So the CHPs are coming nearer, track lines are coming nearer. So safety aspect other than environmental also comes into the picture.
Moderator: Thank you. Our next question is from the line of Kirtan Mehta from BOB Capital Markets. Please go ahead.
Kirtan Mehta: One question coming back to the evacuation capacity. If we look at the 840 million ton production target for next year and the current evacuation capacity, where are the subsidiaries where we will ne ed capacity -- evacuation capacity increase to deliver on the next year's target?
P M Prasad: Primarily, it is the MCL and SECL. In SECL, also, we are focusing in both the fields -- at least, there is a need the increase of 40 to 50 rakes. So one portion o f MCL is this Jharsuguda -Barpali - Sardega. Sardega initially with two sidings we have started, one more siding is being added. And one more -- from Garden Reach, there is one more Laikera siding. We are taking that siding around four rakes, four rakes means 4 million. If we add 50 rakes in a subsidiary, almost it is 50 million tons. So Jharsuguda -Barpali, that side field, we'll be targeting about 25 million to 30 million -- 25 million. And similarly, in the [inaudible 0:28:57] side also another 15 million, 2 0 million.

And silos are also being commissioned, that's first mile connected. Once this is commissioned, the rake loading time from 3.5 hours, 4 hours, it will be reduced to 45 minutes. Turnover of the rakes will also be increased. Similarly, in SECL also , there is first mile connectivity proje

cts are
under execution. Similarly, CERL, as I told, in Raigarh coalfield, there will be an increase there about 10 million to 15 million. Similarly, CERWL, the East -West Railway corridor. That will also take one mor e year. But with that this 1BT also it will be taken care. And if that company SECL -- this year, it is 197 million. Next year, it is 220 million. After that, '25, '26 it is almost 250 million, 260 million.
So next 50 million to 60 million growth in both t he companies are being taken care of this construction of this railway lines, silos and belt conveyers. So in one project, Hingula, there is a belt conveyer is under construction. It is a pipe belt conveyer. Completely eliminating that with that belt conve yer to silo loading, around 5 kilometers, 6 kilometers. Similar other MGRs, these are in place.
Kirtan Mehta: One more question about the MDO operations that we have started. So we have started a projection at three projects at this point of time. So what is the production run rate that we are achieving? And what would be the exit rate from the MDO production by the end of this year and the next year?
P M Prasad: Total 15 projects in the last one -year period we initiated Out of 15, there are open cast and underground, mixed. One project CERWL has started production. Subhadra awarded Stage 1 -- even just by simply awarding MDO also does not serve. But we should get EC, FC. So one underground project of SECL, MDO has started. One in open cast, we have started in CERWL in MCL. Similarly, under execution, two mines in CCL. One is KBP mine. Stage 1 clearance we have got. Environment clearance we have got. Maybe by next year, it will start a marginal production of 1 million, '24' -'25 -- FY '25.
But '25 -'26, that KBP, similarly Chandragupta almost ECA one -time hearing is done. And FCA, it is in MoEF office pending. So maybe in another eight months to 10 months, another four, five MDOs will start operating. So an incremental from these MDOs in '24 -'25, maybe about 2 0

million, 25 million. But '25 -'26, but for sure, it will be around 60 million, 55 million to 60 million.
Moderator: Thank you. Our next question is from the line of Bharani Vijay Kumar from Spark Capital. Please go ahead.
Bharani Kumar: So I just want to know the split of the dispatches in first of FY '24 between power sector and non-power sector.
P M Prasad: Total, our H1 uptake is 360 million tons, 360.66 million tons. And power sector is 295.36 million tons, around 80%. 60 million is a gone to non -power .
Bharani Kumar: Okay. So around 80% of e -auction would also be roughly to power sector?
P M Prasad: E-auction is fully non -power.

Bharani Kumar: Okay. So the e -auction volume of around 32 million tons in 1H is fully non -power?
P M Prasad: The power can pa rticipate, but generally it is non -power bidding.
Bharani Kumar: Okay. What is our dispatch target for FY '25, sir?
P M Prasad: FY '25, it is around 850 -odd million. Whatever we are producing, we are keeping that much. Maybe production at some point in Feb ruary, March, it is more. At that time, there may be adding of stocks, about slightly 10 million, 15 million maybe less dispatches. But it will be adding our stocks, and that will take care in monsoon.
Bharani Kumar: Okay. My next question is on the capex. So this INR16,500 crores capex. Can you give a split of what is the end use of this capex broadly? Like how much goes to equipment, how much goes to non -equipment? And within equipment, what are the main equipments that we are buying?
P M Prasad: It is to tal -- out of INR16,500 crores, one is under -- one major head is land. Other than land, there is -- the FMC projects are there [inaudible 0:34:15] equipments we are going to buy. But HEMM -- under the head of HEMM and some E&M [inaudible 0:34:22] and this other construction activitie

s of power line substations. But primarily, these are distributed in the major heads of land, FMC, watch base, infrastructure development and railway projects. This railway, we are doing under deposit schemes are also, one is d irectly deposit. And another is JV route, subsidiary of railway, either IRCON or RITES. This is primarily IRCON, along with the state government local and subsidiary company.
And other than this, solar projects and this power plant, one power plant, we are going to some MBPL. For that also in this INR16,500 crores, it is being incurred. And a few diversification projects like HURL and TFL -- Talcher Fertilisers and HURL.
Bharani Kumar: Okay. Can you give a split of land and equipment alone in the INR16,500 crores sir?
P M Prasad: Land is about INR2,000 crores to INR2,500 crores. But it is as per the demand. It some times if the land acquisition -- last year, it is INR4,000 crores -- last year it has gone -- it is INR4,000 crores. This time it is INR3,000 cro res, INR3,500 crores we're anticipating.
Bharani Kumar: And equipment, sir?
P M Prasad: Equipment this year, it is not much. This year, it is our activities are much. But otherwise, it is also around -- INR2,000 crores -- it is INR2,000 crores -- INR1,965 crores, equipment.
Bharani Kumar: Okay. My final question is on the employee cost. Of course, we put the last revision in FY '23. Can you refresh us basically on when is the next revision is due for the non -executive and the executive cadre?
P M Prasad: Non-executive, '26. Executive cadre, it is '27.
Moderator: Thank you. Next question is from the line of Vipulkumar Shah from Sumangal Investment. Please go ahead.

Vipulkumar Shah: Congratulations for a very good set of numbers. Sir, on slide 16, if I see M CL and NCL, we are producing very high production with less number of employees. So why this cannot be applied to other subsidiaries? So what is the reason for that? In MCL, we have produced 89.4 million tons with just 21,523 employees.
P M Prasad: MCL has formed out in 1992, it was carved out from SECL, the deep coal field, and Talcher is from Central Coalfields. So relatively new mines, open cast mines, stripping ratio is very less. The overburden and coal, the ratio is very less. And the number of underg round mines is only two to three are operational. Whereas if you see in SECL, the number of underground mines is maybe 30. Even in ECL, it is around 30, 35. So underground, old manpower is there. So we cannot just get rid of them.
So as a company, we are having a policy. Right now, it is like 2,35,000 employee strength. In a

five years to 10 year period, almost every year, 5% is being the attrition with this natural
retirements and other things. So SECL, WCL, ECL, BCCL, it is manpower -wise high. So
overall , it is 2,35,000. So MCL is the lowest, maybe around 15,500. Next is Mahanadi.
Mahanadi's overburden is very less. There are less cover and number of mines are very limited
and highly productive mines.
Vipulkumar Shah: And my second question is regarding v olume of washed coal. So over the next two years, three
years, what kind of increment we can see in the volume of washed coal?
P M Prasad: Non-coking for next two years, 10 million tons, we are adding in Lakhanpur. It is under a trial
run. Immediately, it will come up. This 10 million straight is being added. In coking coal both
in BCCL and CCL. BCCL, it will be added almost two to three washeries have come up and
they will be significantly increasing year -on-year. And in CCL, we are just awarded. It will t ake
two years to three years. So FY '26 -'27, it will be added. The construction period is two years to
three years in both BCCL and CCL, but in a phased manner, about seven to eight washeries,
coking coal washeries are being added. So the moment it is done , it will be producing.
Vipulkumar Shah: So

every year, what type of volume increase we can see in million tons?
P M Prasad: You can -- in coking coal last two years, the incremental of 20% it is already there. And next
two years to three years also, you c an predict that 20% to 30% coking coal washeries, it will be
added. And in non -coking coal, only one washery at Ashoka Piparwar. In CCL -- is under
implementation, under operation. Now this Lakhanpur, 10 million ton washery is being added.
So this 10 milli on is straightly it will be added to the non -coking coal also from this year. This
year, it may be balanced months, maybe 2 million. But for next year, it will be 10 million.
Moderator: Our next question is from the line of Noel Vaz from Union Asset Manage ment.
Noel Vaz: My questions have been answered.
Moderator: Our next question is from the line of Amit Dikshit from ICICI Securities.
Amit Dixit: Yes. I have two questions again. The first one is on the possible FSA price hike. So traditionally,
we have se en that the FSA price hike given to us is just enough to cover the wage cost, but it

was not so this time around. Now since e -auction premium has also come off from that time. So
do we expect to get some additional FSA price hike anytime soon?
P M Prasad: Exactly not right now. In the near future -- we are not seeing anything up to the next 7, 8 months.
Amit Dixit: Okay. Until election time, maybe?
P M Prasad: For non -power prices, maybe we can see. But for power sector, we are not going to touch in the
next 1 year.
Amit Dixit: Okay. So considering whatever we have as of now in terms of railway lines, in terms of FMC,
while the long -term targets are very well appreciated, what kind of evacuation capability in all
do we have as of now in FY '24? And what w ould be our evacuation capability in FY '25?
P M Prasad: FY '25, 850 million, we are capable Here, we have to understand whether it is FMC project or
whether it is railway line. EC, FC, land clearances and the greenfield projects obtaining, the time
will b e taking for any forest bit if it is there. So we have to provide proponent has to apply, it
will go to MoF to state. And there is parallel activities coming. So the 850 million in FY '25, we
don't see any difficulty. 100%, it will be achieved.
Amit Dixit: Okay. So 850 million ton we'll be having in FY '25. But, I mean, the slide you have mentioned
that FMC, this capability would only come to 930 million tons by FY '28 -'29. And given our
target is 1 billion ton, I think, for FY '27, so I mean, that 1 billio n ton target is still intact, right,
FY '27 contingent on demand?
P M Prasad: That is intact. And surface miner, this minus 100 mm also we're increasing year by year so that
instead of crushing by deploying more surface miners, environment friendly, we are increasing
that production also. So directly, it can go to power plants. So wharf wall loadings, we are
eliminating in an orderly manner with this silo loadings. So the construction time of 1 to 2 years,
it is being taken. So right now, it is 228 million. Within 2 years, it's maybe touching 450 million.
And wherever we are -- these crushers and silos, where it is taking time, but surface miner
production can be directly fed to the wharf wall and it is also being dispatched. Dispatches 1 BT
is on course, th ere is no issue.
Moderator: Our next question is from the line of Indrajit Agarwal from CLSA.
Indrajit Agarwal: I have one question. When we look at the non -power FSA that we have, is it now all moved to
the new mechanism of auction based? Or do we still h ave some old mechanism FSA, which is
price -based as per the old pricing mechanism?
P M Prasad: 11 million ton through CPSC. That is there. But the prices are indexed. Indexed with that. But
other than that, we are going through this new trend. Auctions als o will be there. All others are
auctions only. Oth

er than this 11 million ton.
Indrajit Agarwal: So right now, of the non -power FSA that we sell, how much is still under the old mechanism, which can still move to like an auction mechanism and hence lead to higher prices for us?
P M Prasad: We are selling 11 million tons.

Moderator: Our next question is from the line of Mr. Rohit Natarajan from Antique Stock Broking.
Rohit Natarajan: So the railway joint venture that we have with IRCON, I see that there is a slippage of the commissioning date as such. What could possibly be the realistic time frame in which you could conclude the project?
P M Prasad: In IRCON, in three places we are working, more than three also. But Shivpur -Kathautia is on time in CCL. There , you have to understand the state government has demanded land cost along with market rate. So there is bankers problem is also there for getting loans. So we have requested state government, we cannot go on market rate. It should be on this government la nd rate, maybe aggregated into 1.5x. That is being considered at Chief Secretary level.
Similarly in CERL and CEWRL, that is being taken care. So there are some issues sometimes it comes up. So by and large, if you see railway projects on a deposit basis a re the joint venture, it may take 3, 4 months this way, that way. But it is more or less in tandem it is going on. The moment these hurdles, somewhere it is forest clearance or these other issues with the state governments.
Once it is cleared, the actual l aying and other things, the contractors are in place. Only if you make them the land available, then the other things will be parallelly it is being executed.
Somewhere some minor bridges, major bridges are also to come from rainy seasons and peak seasons, there may be 2 to 3 months issue. But as I tell in Jharkhand, the project is on time.
Moderator: Next question is from the line of Ashish Kejriwal from Nuvama Wealth Management.
Ashish Kejriwal: Sir, to lead to 1 billion ton target, how much capex is requ ired for our production, power, land acquisition or our evacuation facilities to reach to the target? A ballpark figure will also do?
P M Prasad: Every year, say, this year, INR16,500 crores. Next year maybe INR18,000 crores to INR19,000 crores. It is arou nd that range -- it will be around INR19,000 crores. But once we complete this First Mile Connectivity projects, after 5, 6 years -- for the next 4, 5 years, it is on that range, even some coal gasification projects are also has to come. If a successful bi dder will come, then it will be in this range only, INR18,000 crores to INR20,000 crores.
Ashish Kejriwal: Sir, my question is not to different projects, only projects which will lead to 1 billion ton of our coal production per year, which includes, obviou sly, First Mile Connectivity. So how much...
P M Prasad: First Mile, INR24,700 crores in the next 5 years, First Mile only. But in railway, there is other works are also going on. So some railway deposit works are going on, some railway joint venture with IRCON -- and some local sidings we have to develop. That is parallel activities. Maybe that also, per year, if you split this INR24,700 crores, say, in 5 years, maybe INR5,000 crores per year. Similarly, railway also maybe INR2,000 crores to INR3,000 crore s per year. And MDOs will be in place, capex will be reduced.
Ashish Kejriwal: So sir, is it safe to assume that for next 5 years, we can do capex of something like INR80,000 crores?

P M Prasad: 5 years you put together? Yes.
Ashish Kejriwal: 5-year put to gether. And that will help us in evacuating 1 billion ton provided demand there?
P M Prasad: Even -- the demand is definitely there. From our side, we are selling 20 years -- 15 to 20 years. But for projection side, we are only talking up to '25.
Ashi

sh Kejriwal: Understood. So sir, my question was that in next 5 years, we will achieve 1 billion ton target. And obviously, we don't want to go much beyond that. And thereafter, maybe we can start moving in a non -coal areas where your capex will continue to b e INR1,500 crores to INR2,000 crores per year for foreseeable future. Or something else is there in our mind in order to divert it from fossil fuel?
P M Prasad: In solar, in coal to gasification and other thermal plants, just like MBPL; MPGCL, one more plant along with the state of Madhya Pradesh, we are going in a JV 660 megawatts. So similar things are -- we are also looking after to diversify and to get other incomes from other operations other than coal mining.
Ashish Kejriwal: Okay. And sir, next quest ion is in one of your replies earlier, you mentioned, I think that second half, our target for e -auction coal volume is 15% of the production. Am I right?
P M Prasad: Yes.

Ashish Kejriwal: So if I'm doing -- because power demand, if it's there, because of which only we are very much confident about the volume growth. And in first half, if you see, we have done only 9% of our volume. So do you think that 15% of that entire volume in second half is possible for us? Or is there a demand slowdown which we are f acing in the power sector, which will lead to higher offtake in power sector?
P M Prasad: It is possible because usually December to March, it is productive months. Demand is increasing day by day. Demand has never reduced or never stagnant. It is continuo usly -- last 1 month, it is peaking up only, every month. It is -- even in Ministry of Power's projections also it is exceeding.
Ashish Kejriwal: That's the reason, sir, I'm asking because power demand is increasing. So can we provide higher volume to e -auction. We were thinking it will be lower than that, but...
P M Prasad: We can provide. Power plants, initially, we will meet their targets. We will keep in mind by keeping their targets, and we will be touching this 15% also, both things we will keep in mi nd.
Moderator: Our next question is from the line of Bharani Vijay Kumar from Spark Capital.
Bharani Vijay Kumar: Sir, can you help me with the person and the contact details to contact from investors' point of view?
P M Prasad: Company Secretary's name is already there, Mr. Dubey. You can put in that mail if anything is needed, any information is needed.
Bharani Vijay Kumar: Okay. And that mail ID would be, sir?

Management: Yes. You talk to Mr. Natarajan. He will provide you details, okay? It's given there, okay?
Bharani Vijay Kumar: Okay. My second question is on e -auction. So what are the different methodology of e -auction that is right now ongoing?
P M Prasad: Linkage and spot auction. Dedicated linkages which are there. Spot auctions.
Bharani Vijay Kumar: And predominantly, the volume is happening through the spot mode, right, more than linkage mode?
P M Prasad: Yes, yes. Auctions mostly for spot only.
Bharani Vijay Kumar: Okay. What is the time lag between buyer booking and we actually getting it d elivered? And what will be our time period for which we will recognize that revenue? So if booking is done in this month, when we'll actually recognize that as revenue?
P M Prasad: We can start 8 to 10 days, and we might take the local clearances from the district mining officer and the Director of Mines of the state government. But 10 days is a sufficient period where we can delivery once he books and clears the auction.
Bharani Vijay Kumar: Okay. So when you are telling recent notified price and e -auction premium, over that is 90%. So that would be, say, after -- say, next month itself?
P M Prasad: It is 3 months, they can lift it -- they have to lift.
Bharani Vijay Kumar: Okay. So maximum 3 months. Okay.
Moderator: Thank you. Ladies and gentlemen,

that was the last question of a question -and-answer session.
As there are no further questions, I would now like to hand the conference over to the management for closing comments.
Bijay Prakash Dubey Thank you, Mr. Natarajan. I'd like to thank all the particip ants for this conference call, for the excellent reasons. Thank you, and we hope to meet you in the next quarter again. Thank you, once again, to all.
Moderator: Thank you. On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2024

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CIN- L23109WB1973GOI028844
Ref.No. CIL:XI(D):4157/4156:2024: Dated:21.02.2024

To,
Listing Department,
Bombay Stock Exchange Limited,
14th Floor, P.J. Towers, Dalal Street,
Mumbai – 400 001
Scrip Code 533278 To,
Listing Department,
National Stock Exchange of India Limited,
Exchange Plaza, Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051.
Ref: ISIN – INE522F01014

Sub: - Transcript of Investors' meet for CIL's post Q3 FY24 Results as per Regulation 46 of Securities Exchange board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, ("Listing regulations 2015")

Dear Sir,

Further to our letter no CIL:XI(D):4157/4156:2024: dated 19th Feb'24, we are enclosing transcript of Investors' meet held on 19th Feb'24 for "CIL's post Q3 FY24 Results" as Annexure .

This is for your information and record.

Yours faithfully,

(■■ ■■ ■■■■/B. P Dubey)
Company Secretary/ ■ ■ ■■■ ■■■■
Encl: As above & Compliance Officer/ ■àÜ■■■■■ ■■■■■

“Coal India Limited
Q3 FY ’24 Earnings Conference Call”
February 19, 2024

MANAGEMENT : MR. P.M. PRASAD – CHAIRMAN – COAL INDIA LIMITED
MR. MUKESH CHOUDHARY – DIRECTOR MARKETING – COAL INDIA LIMITED
MR. MUKESH AGRAWAL – DIRECTOR FINANCE – COAL INDIA LIMITED
MR. B.P. DUBEY – COMPANY SECRETARY – COAL INDIA LIMITED

MODERATOR : MR. AMIT DIXIT – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Coal India Limited Q3 FY '24 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Dixit from ICICI Securities. Thank you, and over to you, sir.

Amit Dixit: Good afternoon, everyone, and thanks for attending the call today. At the outset, I would like to thank the management of Coal India for giving us an opportunity to host this call. From the management side today, we have Shri P. M. Prasad, Chairman of Coal India; Shri. Mukesh Choudhary, Director Marketing; Shri. Mukesh Agrawal, Director, Finance; and Shri. B.P. Dubey, Company Secretary.

So the format of the call will be that management will open with a few remarks on the company's performance and outlook. And post which, we will open the call for an interactive Q&A. Without much ado, I would like to hand over the call to Mr. Dubey to take it forward. Over to you, sir.

B P Dubey: Good afternoon, Mr. Amit. At outset, I welcome all the participants. The copy of corporate presentation has already been uploaded in NSE and BSE and also in company's websites. Post completion of meeting, the copy of transcript and video recording should also be uploaded in NSE and also in website. Before we formally start the meeting, I would just love to read the cautionary statement.

Kindly note that some of the matters to be discussed today are forward-looking relating to implementation of strategic actions and other information on a future

business development and
commercial performance. In this regard, a number of these uncertainties and other important factors may cause actual development and results to vary materially from expectations. Accordingly, CIL undertakes no obligation to publicly revise any forward-looking statements to reflect in future events or circumstance as the case to be. The duration of this call is around 50 to 60 minutes. I will -- before we start, I would request Chairman for his opening remarks, sir.

P M Prasad: Before that, just make a correction, Shri. Mukesh Choudhary is Director Marketing. Good afternoon, all. And the first 9 months report, you see, it is highest ever 9 months coal production of 531.90 million tons and overburden of 1,404.85 million cubic meter with a growth in coal production 11%, and in overburden, it is 22%. Similarly, offtake also, there is a growth of around 8%. It is our highest to power dispatches 454.03 million tons, highest ever 9 months profit.

It is PBT of INR31,937 crores and PAT of INR23,849 crores. This is also increase of PBT, INR1,579 crores, that is 5% over previous year during the same period. Highest ever 9 months revenue from operations and net sales, highest ever revenue from operations of INR1,04,914 crores in 9 months, an increase of INR4,814 crores, that is 5% over previous year. Net sales also there is an increase of 4%. Besides this, capex also we have achieved, CIL achieved a capex of INR5,702 crores compared to [INR4,773 0:03:54] crores last year, in the last quarter. And

overall, also, we are set to achieve INR16,500 crores in this financial year. And CIL has backed around 300-megawatt of solar projects of Gujarat Industrial Power Corporation at Khavda, Gujarat through e-auction held on January 25, '24.

And besides this, there is other things. Market capitalization of Coal India stood at INR2,31,719 crores on 31st December 2023. And the Board has also approved, we all know, a second interim dividend of INR5.25 per share. With this total interim dividend for financial year '23, '24 is INR20.50 per share that is 205% of face value.

This is all about up to the first 9 months. Now we are open. You can ask any questions.

B P Dubey: Yes, Mr. Amit, you can firmly start the interaction, please.

Amit Dixit: Yes, please start the question-and-answer session.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Alok Deora from Motilal Oswal.

Alok Deora: Sir, congratulations on very good numbers. Sir, just had -- first question was on the volume side. So the volume so far has been very strong and we had guided for around 780 million tons. Any change on the numbers or we would largely be achieving that?

P M Prasad: We are -- kept a target another 39 days to go. 780 million tons is our target, and we are all set to go. But there is one company, SECL, five companies are already ahead of the target. One company, SECL, there is due to some land shortage initially, now there is no issue, but around 8 million tons to 9 million tons we are a little bit lagging behind. That comes to around 171 million tons around right now.

But we are -- some few mines, the EC clearance is also being ended, so we are trying for 10% growth is already there to keep and to keep the momentum. Five companies, for sure, it is achieving targets. In SECL, there is an issue in initially mega projects, two projects. And hence, though there is a growth in that company, more than 10%, 12%, 13% growth. But the target set is to achieve 197 million tons.

Last year, they could achieve 162 million tons, previous year 147 million tons. So 147, 162, there is a huge jump last year, FY '23. Again, 25 million, again, huge jump, but there may be some little around 10 million, 8 million to 9 million gap may be there. But we are trying to make up another 2, 3 companies at leas

t 1 million to 2 million. So approximately around 770 million, it is there, for sure, but we are trying to keep so that last 39 days, if everything goes well, we will try to minimize the gap also.

Alok Deora: Sure. And next year, again, 850 million, we'll largely maintain that target?

P M Prasad: 850 million, now ministry has 838 million because of huge stocks. In Talcher field, we are adding every day 1 lakh tons stock. So our -- the overall stock, it has grown more than 38 million tons. It is also highest ever by this time in any previous year. Since we want this rack supplies

also to be smooth, somehow 4 to 5 racks at Talcher and 4 to 5 racks at Korba field, they're getting a little less.

However, for them also, there is a growth. With that growth also, coal stock at both powerhouse and at our side, both have increased this time. So with that -- keeping that 838 million tons, one target is kept in the 850 million. So that it will again be reviewed in the first week of April in financial year.

Alok Deora: Sure. And sir, this e-auction volume, if we see this quarter was close to -- or quite less than what we had given as a target for second half of 15% of the volumes, which we'll be doing through the e-auction route. So any comments there because we are looking at a 15% e-auction volume in second half. So are we -- how do we see it in the fourth quarter now? And why has it been a little lower, side?

P M Prasad: In February, it is 17%, till February -- till 15th February, it is 17%. It is close to that 15%, whatever you are telling it is close to that. But subject to the demand, it may vary, a little plus/minus. It may increase also in March.

Management: It was 13% in January and then it has increased to 17% in February, from 1st to 15th February. It is further increasing and as the production is increasing, it may reach 20% also.

Alok Deora: Got it. So 4Q will be close to 15% or so?

Management: Yes.
P M Prasad: Around it.
Alok Deora: Okay. Just last question. In -- so the premium -- e-auction premium, we saw a pretty sharp jump in the third quarter of close to -- moving close to 117% or so. So that will again now come down because you're increased in the volume of -- through the e-auction route? How do we see the e-auction premium moving?
P M Prasad: Slightly, it will come down.
Alok Deora: Okay. Okay. And how has it been in Jan and Feb, if you can just indicate some number?
Management: Around 36% to 48%, it is varying, but we are having it in that range.
Alok Deora: 36% to 48%?
Management: Yes. For the full year, the average is around 80%. And for Jan and Feb, the premiums are less.
Moderator: The next question is from the line of Meet Parikh who's an Individual Investor.
Meet Parikh: The first question I wanted to ask is, again, regarding e-auction premium, so as volumes approach 1 billion tons in 2 years. So what kind of e-auction premium movement do you expect? And once this 1 billion tons target is hit, it seems very imminent. So after that, what is the --

could you give some guidance on that? Because all these FMC projects, all you are doing, it seems very possible next year. So that is the question one.
P M Prasad: This e-auction premiums may vary subject to the demand quarter-to-quarter, number one, which is 1 million target, what you are referring, 1 million shortfall, regarding shortfall or...
Meet Parikh: 1 billion.
P M Prasad: 1 billion. 1 billion, we are on course. Next year, it is 838 million tons. It is just revised but are subject to the demand. 850 initially 1 BT, it is 850. Recently due to the present scenario of our coal stocks, coal stocks at power plants and subject to demand, it is kept as 838 million tons instead of 850 million next year.
So we are on course to achieve this and preparations are going both for monsoon preparation also in

'24 monsoon. Also, we are working on it. Our tenders are in place and all the arrangements to face the monsoon by May 31 will be in place. So that monsoon also, there will be smooth production and dispatches and we will try to achieve 838 million next year.
Meet Parikh: Sir, I meant to ask in the way that since 1 billion tons will come online, so that will be huge coal stock. So will that affect the demand of e-auction coal bringing the premium down overtime is what I was asking?
P M Prasad: Definitely. If stocks at power plants, if it piles up and our side also if stocks are there, as per the demand appetite, it is vis-a-vis related with the appetite that auction premiums.
Meet Parikh: Sir, the second thing I wanted to ask was the dividend policy. So what is the dividend on which you would like -- the policy on which you decide dividend, is it like PAT plus noncash expenses, including OBR and you reduced capex on that?
Management: Capex is not reduced. Dividend policy is already hosted on the website. So the dividend, we are deciding based on the requirements and the capex in the future year. Accordingly, we are balancing the shareholder expectation as well as the complete capex program.
Meet Parikh: Okay. And sir, last question I wanted to ask was Indian coal in comparison to international coal, could you give a comparison of what is gross calorific value there? And what kind of -- what is the benchmark that you use for comparing our prices to international coal?
P M Prasad: Regarding ash content, you should understand, Indian coal is predominantly high ash content. Say, in companies like Mahanadi, some part of SECL, CCL, it may be around 42%. Internationally, if you see some countries, there may be 8% to 10%. So same level comparison cannot be there, number one.
And even if we import also, import also, there is a band. Band-wise calorific value only, either it is Indonesian coal, Australian coal, you see particular bands, a particular GCV that is being -- the rates are being numbered. So it cannot be, but in India also in ECL, there are -- there is good quality G6 to G8 band is there, where we -- our quality is also very good. Similarly in Mahanadi, it is a little inferior, but it is very much friendly to thermal power plants. So it varies.

Meet Parikh: Okay. Okay, sir. And what is the benchmark you use for that to compare the international price, like is it that band-wise? Or is it like a common benchmark that you observe?
P M Prasad: Band-wise. Calorific value is definitely taken into account along with ash percentage.
Moderator: The next question is from the line of Dixit Doshi from Whitestone Financial Advisors Private

Limited.
Dixit Doshi: Sir, firstly, just a clarification. You mentioned for January and February, the e-auction premium has come down to 30%?
Management: It's around 36% to 50%. In different companies, we are getting different this thing. February is still going on, so it's initial days only. But around 50% was there in January. And in Feb, for the first...
Dixit Doshi: Okay. So for the first 15 days, it's more than 100% in the Q3, right?
Management: More than 100%, no. Our Q3, yes. Yes.
Dixit Doshi: Okay. Okay. Now second question is regarding the rare earth and lithium and other mines. So are we doing something in the Australia and also in India also, government is going to provide such mines in J&K and other parts of India. So what we are planning over there?
P M Prasad: In India, first, I will tell. In three blocks, we are going to participate for auction, for exploration first. We are going to drop this auction originally, the date was 21st. Now it is revised to 26th.
Ministry of Mines is conducting a e-auction, so we are participating in three blocks, number one.
In Australia, our team has visited and seen one or two areas, and they are in different talks, so it is in the preliminary stage o

nly.
Dixit Doshi: Okay. In India, you mentioned three blocks. These are of which mineral?
P M Prasad: It is these critical minerals only, all the three.
Dixit Doshi: Okay. So these are the J&K or some other part?
P M Prasad: It is not exactly J&K, different states, it is spread over.
Dixit Doshi: Okay. And this last date you mentioned is 26th Feb?
P M Prasad: 26th Feb.
Moderator: The next question is from the line of Indrajit from CLSA.
Indrajit: In the press release, you have mentioned that you're looking to change the accounting policy for stripping activity adjustment. So if you can highlight what exactly are we trying to do here? And what could be the impact?
P M Prasad: This is in correspondence to international accountancy standards, so there is some observations going on the last 3 to 4 years. We wanted to rectify and follow the international accounting

policy, so we have adopted this and we are going to comply the standards, as mentioned in the International Standards of Accounting and along with in Indian context and Chartered -- Indian Institute of Chartered Accountants also, we have referred, we have taken opinion and we are following that.
Indrajit: So in that case, sir, OBR stripping activity adjustment amount will go to 0? Or how will it happen?
P M Prasad: For 3 years -- preceding 3 years, we have taken into account for correction, and going forward, we -- by implementing the standards mentioned, we will be taking the course and we are following this as per the -- we have consulted the Institution of Chartered Accountants and with their advice and this legal advice we have taken, and we are following that.
Indrajit: And lastly, sir, on the stripping activity adjustment because it's a noncash provision, do we get tax shield on this? Is it an allowable expenses under tax -- income tax act?
Management: Actually, this is a case, different companies are situated in different states and different income tax authorities has taken a different view. In some of the cases, it has already been disallowed, so we had already paid the tax. And in some of the cases, it has been allowed.
So overall, it will be some impact on the taxation front, but it will be not much impact because of some of the cases it has been allowed, in some of the cases it has been not allowed -- disallowed. So it will be a mix. So some impact will be there when we will assess what will be the total quantum at the year-end. Accordingly, taxation can be worked out.
Indrajit: And lastly, on the balance sheet, there is a significant liability we have on this, right? So if and when that gets reversed, there could be a tax implication on that as well, right?
P M Prasad: As I already mentioned that impact will -- we are working on it. And if the reversal will take place, then naturally, some income tax impact will come in the current year.
Moderator: The next question is from the line of Amit Lahoti from Emkay.
Amit Lahoti: Sir, what is your capex target for FY '24 and '25?
P M Prasad: It is almost INR17,500 crores. This year...
Amit Lahoti: For both the years?
P M Prasad: It is INR16,500 crores, and INR1,000 crores more, INR17,500 crores.
Amit Lahoti: And my second question is on the strike that happened last week. So do we have any update there? What is going on?
P M Prasad: Strike only for 1 single day. Some 4 unions have given. This is with respect to the national level issues also, not primarily to Coal India. As country's some other issues, they have in -- for 1 day,

they have gone -- as per their party's instructions, they have participated, but almost 80% to 85%

production, at some subsidiaries, it is even 95% also, we achieved. Only marginal impact was there.
Moderator: The next question is from the line of Venkatesh Subramanian from Logictree Investment Advisors.
Venkatesh Su

bramanian: Yes, sir. Congratulations on a good performance, and we are actually quite impressed with the way Coal India is evolving as a company. It's such a large company performing so beautifully, best wishes to you, sir. That's one. And my question is, in terms of the e-auction premiums, I know that we can't really measure it quarter-on-quarter.
But until December, we had 116% premium in terms of e-auction and suddenly, you're talking about 40% to 50%. Is there any particular reason why it's happening that way? And what do you estimate it for the fourth quarter going forward? I mean, the next quarter?
Management: Actually, the premiums, they are linked -- they were earlier being linked with the imported coal prices. So when the imports coal prices for this band of 4,200 went up and down, the premiums also moved in tandem with them. Now with increased availability of domestic coal, the premiums have started now actually getting away from the linkage with the imported coal prices.
And 48% was from 1st January to 15th February, we have received. So maybe in the month of January, somewhere it was around 60% or so. And going ahead, we think this is going to be the order of the day, somewhere around 40% to 50%. So that's why we have actually started the non-regulated sector linkages once again, which we used to do every year.
Now we have started twice in a year. So after completion of the 6th tranche, we already started 7th tranche and sponge iron, cement, these subsectors have already been completed and CPP sector is right now going on. So in order to look for more non-power consumers, we are offering more rounds of NRS linkages, and we are conducting them even more frequently.
Venkatesh Subramanian: Okay. So which means that, so far, our realization is broadly the blended realization is about INR1,724 per ton. So considering that going forward, the auction premiums might moderate downwards would you still have some strategy internally to maintain the overall realization, sir, in FY '25?
Management: The overall realization means we have to offer more coal to the non-regulated sector where the premiums are very high. We are getting logged in at around 48% or so. Now with around 30% to 40%, which earlier used to be somewhere around 10% to 20%, and volumes are going to help us.
Venkatesh Subramanian: Okay. So broadly, we should be able to maintain because also we have quite a lot of capex plans, so I don't think it's a cause for worry according to you, yes.
Management: Yes.
P M Prasad: Yes, definitely.

Venkatesh Subramanian: Okay, super. So second question is INR80,000 crores of capex you planned over the next few years. Most of it will be internal accruals, sir?
P M Prasad: It is other. One is land acquisition and this FMC projects, railway lines, and the coal gasification is also coming. Once this is materialized, one coal gasification along with BHEL, we're in a JV.
One is with GAIL, we are in a JV. All this comes to -- and solar, we are going for initially 3,000 megawatts, subsequently we'll increase.
Management: Primarily, diversification projects will be a basket of the internal export and debt, whereas all the expansion in the coal mines will be met from the internal accruals.
Venkatesh Subramanian: Okay. But considering that the kind of projections we have for FY '25 and FY '26, predominantly, I think internal accruals should take care of most of our needs. Would that be the right assumption, sir?
Management: Yes, you are right because we had just started the renewal, so not much debt will come in the '25. But in the coming year, debt will increase in the renewal and gasification projects.
Venkatesh Subramanian: Okay. And do you have any plans going forward once we have coal, we have CIL energy and then we have -- we're investing a lot in terms of alternative energy as well. Would you have that as a separate demerged e

ntity or something in the future?
Management: We had already -- some verticals are there for the renewable energy and other projects, for that

we had already subsidiaries companies are there. We had already formed the joint ventures and the new companies, so those we'll pursue that. We are not going to create any new subsidy. It is not in our discussion right now.
Venkatesh Subramanian: Okay. So my last question is, sir, as per your internal blueprint strategic thinking, sir, where do you expect the broad price trend of coals over the next 1 or 2 years, just a broad estimate. Not looking for accurate figures because it's market determined, but what is your internal estimate where you think it will settle down, sir, coal prices?
Management: It's likely to stabilize at the current levels and then it will depend on many future events also, which are coming. In 2036, which country is going to be the country where Olympics are going to be hosted and many other issues are there. But as of now, we understand that the current levels have stabilized and it should -- this trend should continue at least for a year or so.
Moderator: The next question is from the line of Amit Murarka from Axis Capital.
Amit Murarka: My question is a bit longer term. So recall at our level, we are looking to raise coal production to 1 billion tons and then we have a lot of private captive coal mines, which are also seeing rise in production over the next couple of years. So if, let's say, like what I understand is you're saying that there is some -- coal stocks have increased.
So in years ahead when more captive production comes in, like how do you think there will be marketability of all this increased production that you have? And could it lead to like a structural decline in e-auction premiums in the country, just some thought on that?

P M Prasad: Demand is increasing. You should understand. The overall demand is there. So temporarily, sometimes the auctions -- sometimes the accumulation is there and the monsoon also will be coming. So for sure, demand is also at this pace of growing, and we are also doing 10% growth. Even other players also come in, they have to meet the demands. This impact -- imports can be reduced.
Management: 80,000 megawatts plants.
P M Prasad: 80,000 megawatts power plants are coming by 2030.
Management: And already, we are asked to do 50 million tons more to power this year.
P M Prasad: This year, we are giving more to power plants. And next year also power plant projection is 50 million tons more. So there is demand. So there may be a temporary phases in the supply of racks. But overall, you can see appreciate, in the last 2 years, Coal India is growing in double digits.
Amit Murarka: Absolutely. I completely appreciate that and congratulations. But my question was more on that side only that if supply is growing more than 10%. And obviously, there is growth of renewables and all, so coal demand per se, like -- can it meet the supply growth? Or like will it lag the supply growth? Is there some thought that you have or some work that you've done on that?
P M Prasad: Then it will not lag. It will be definitely meeting the demands. And you can appreciate, imports are not increased in thermal coal.
Management: 200 million tons, we need to...
Management: One more factor will play in the coming year. As the economy is growing, all round, infrastructure is growing. The demand of the power is going to bound to increase. So one factor is, increasing demand per capita will lead to this factor. And on the other hand, new power sectors, which are coming, will also multiply the demand. So ultimately, it will increase the demand for the coal.
Amit Murarka: Sure. Understood. And also on import substitutability, like how much of coal is coming from Indonesia or wherever you think, and can be replaced with domestic coal?
Management: Yes, a

round 50 million tons of coking coal, which is coming to the country may probably continue because of the limited availability of high-grade coking coal required by steel sector. And there are certain plants on the coast, which are actually based on imported coal for their generation, their boilers are designed accordingly. So these plants may also continue to have imported coal.
But other than that, we are still looking for a target of somewhere around 175 million to 200 million tons of coal, which is a substitutable type of coal, which if available at the right prices and the right time, so we'll be able to substitute that. So not only the current domestic demand, but also the 200 million tons, 225 million tons, which the country is importing, that also is being targeted by us so that we reduce our reliance on imports.

Amit Murarka: The entire that 150 million tons, 200 million tons is replaceable because a lot of that will be like coastal plants and all, as you said?
Management: This is what you said, 225 million tons. So out of that 225 million tons, somewhere around 50 million tons we'll get for coking coal and another 25 million to 40 million tons may be somewhere for coastal plants or maybe some of the consumers who require specifically very high -- so in case of high grade also, we have now started offering high-grade coals from our site to non-regulated sector consumers who want high-grade coal like cement sector, etcetera. So this also in a planned way, we are targeting those consumers who are actually importing high GCV coal.
Amit Murarka: Got it. Got it. And just the last one, like could -- and some logistics and all will also need to be improved, whatever rack availability and all those issues that we've seen in the past?
P M Prasad: Logistics are under -- improving regularly, whether it is commissioning of railway lines and sidings, FMC projects. Similarly, in land and environmental clearances also, we are almost continuously pursuing. And all the -- overall, we are going to make it. Under the National Coal Logistics plan, it is being implemented, it is under implementation.
Moderator: The next question is from the line of Siddharth Gadekar from Equirus.
Siddharth Gadekar: So first one, the washery part. So can you give an update on what is happening on that side of the business? And when can we see some higher volumes on the beneficiated coal part?
P M Prasad: Washeries part, we are having a few washeries under construction. One Madhuband washery is recently completed, commissioned. Right now, we are doing 5,000 tons per day, new washery. And 2 more washeries in BCCL are under construction, one Bhojudih. Bhojudih, it may be commissioned by July. So once it is completed next year, there will be increase in washing part. And one more washery is under started, under construction, Patherdih II.
But after a period of 2 years, that coking coal share will be green. Last year -- we are around 10% to 12% more than last year, but a significant increase will be coming after the commissioning up new washeries. In CCL also, two washeries, we have given LOA, both the Dhori and Kathara, some EC and other statutory complaints are underway. Once this is done for 2 years, it will be constructed.
Maybe FY '27, there will be a growth from present level of 1.5 million to 2 million wash coal, we will be going to around 6 million to 7 million after 2 years. In Mahanadi, 1 non-coking coal washery just recently commissioned in Lakhanpur. That is a 10 million ton non-coking coal washery. There is demand and agreement with APGENCO and other GENCOs. So it has -- trial run has completed, so it will be a 10 million ton non-coking coal washery is added in our kitty.
Siddharth Gadekar: So once all these capacities come online maybe FY '27, '28, what could be the peak of beneficiated coal that we can produce? Tentative number.

P M Prasad: Our target is around 8 million tons by FY '30, but FY '27, '28, it may be around 6 million coking coal. Other than this non-coking coal, which I mentioned in Lakhanpur that is already commissioned, it will add in this '24-'25. FY '25, it will be doing its complete as per capacity.
Siddharth Gadekar: All right. Sir, secondly, on the e-auction part, what has driven the e-auction rise in the third quarter? Because if you look at international prices also, they were relatively subdued during 3Q. So why did the e-auction premium jump very sharply in the third quarter?
Management: Third quarter, if you see the power plant stock has come down to the bare minimum in the month of September, it has gone down below 90 million tons. And the peak demand in the country at that point of time has hit 240 gigawatts, which was the highest ever. So there was a substantial pull at that point of time.
Moderator: The next question is from the line of Ashish Kejriwal from Nuvama Wealth Management.
Ashish Kejriwal: Many congratulations for the work, which we have been doing for the last few years. Sir, 3 questions from my side. One is, obviously, employee cost we had guided earlier at -- we end up with around INR46,000 crores.
So are we still maintenance the guidance? Or is there any change for this year? And if you can get a sense -- give us a sense on next year, what could be the global employee cost depending on the situation that now 4% to 5% employees are retiring every year. That's my first question, sir.
Management: As the superannuation and attrition of employees are taking place, it is bound to come down. We are expecting this year, employee cost will be less than the last year to the tune of around INR2,000 crores. And it will continue, the trend will continue in the near future also.
Ashish Kejriwal: Okay. So it's fair to assume that FY '25 employee cost would be equal to FY '24 or less?
P M Prasad: Yes, yes, you can say it.
Ashish Kejriwal: Okay. Okay. And secondly, sir, when we are talking about INR17,500 crores capex target for FY '25, is it possible to give some kind of breakdown between power and non-power -- between

coal and non-coal?
Management: Right now, it is not available, we will forward it.
Ashish Kejriwal: Okay. Great. And sir, thirdly, for e-auction price. We mentioned that, I think, Jan, the average e-auction premium was something like 54%, but in absolute terms, I think it's around INR2,700 per ton. So when we are talking about 36%, 40% premium, is it possible to quantify on an absolute term? Because sometimes because of the grade also things change materially, so is it possible to quantify on absolute terms what's happening in February?
Management: It's difficult to quantify in absolute terms because in the last quarter, we have asked the coal companies to offer around 20% of their monthly production there. And the monthly production in absolute numbers, what we are getting is, it's huge in Mahanadi coal fields and SECL where the grades are not very high. So as of now, it will be very difficult to quantify it in absolute

numbers. Going ahead, maybe by middle of March or so, we'll be in a position to get those numbers.
Ashish Kejriwal: Okay. So you mean to say that because the grades are low, volumes are high, and that's the reason premium could be lower.
Management: Yes, yes.
Moderator: The next question is from the line of Ketan Jain from Avendus Spark.
Ketan Jain: This 838 metric tons of target next year, is it production or dispatch target?
P M Prasad: It is production. Dispatch also at the same range, it will be there. Now also it is 780, 780, so it is almost the same.
Ketan Jain: Okay. And next year also 15% of the dispatch will be e-auction, right?
P M Prasad: Around, around.
Management: Yes, maybe even more because if you are able to meet the demand

, then the additional coal,
we'll definitely take it out in the e-auctions.
Ketan Jain: Okay. And the possibility of giving that 15% within that how much will be regulated portion and nonregulated portion by volume?
Management: As of now, we have got a requirement of 661 million tons for the regulated power sector. And then we have got FSA commitments, fuel supply agreement, long-term commitments of somewhere roughly around 100 million tons for non-regulated sector.
And the balance quantities are always there, but it depends out of the 100 million ton also, it depends on the demand and supply position for the consumer side. So you can say out of 838, 661 is our commitment for regulatory sector. The rest all should go to non-regulated sector under different modes, either FSA or through e-auctions.
Ketan Jain: Okay. Understood. And when you're talking about the capex for 2025 at INR17,500 crores, when I compare this number with the number given in the interim budget, that came in the beginning of this month for Coal India, it said INR15,500 crores as the capex in that interim budget. So what is the reason for the difference between INR15,500 crores?
P M Prasad: It may vary because solar also, we are going and other new initiatives, it is just INR1,000 crores in a year. It can be slightly.
Management: The previous have been submitted some 3, 4 months before. Later on, we had a fine tune.
Ketan Jain: Okay. Okay. So the actual number would be INR17,500 crores?
Management: Yes, around. It is optimistic.

Ketan Jain: Right. And just to get a sense of the overall coal dispatch or production volume that Coal India does, what proportion would be this majority of the grade that we produce, which is grade 5, 6, 7 -- sorry, grade 9 -- 8, 9, is -- 9, 10, 11 is what we produce the most, what will be the proportion of these grades on the overall volumes?
P M Prasad: 11, 12. 11 to 17 is 70%. That is the most abundant quantity going for the thermal plants.
Ketan Jain: Okay. 11 to 17 is the most abundant at 70%. And typically, how -- what grade is e-auction coal that we sell?
P M Prasad: All grades, all grade.
Management: All subsidiaries offer some quantity from their production. So all grades have been offered depending on the volumes which have been produced.
Ketan Jain: So I'm asking e-auction, which is the predominant grade?
Management: Naturally, because of that only the G11 to G17 because -- everything is being offered on a proportionate basis. So...

Ketan Jain: Okay. So the same 70% proportion is in e-auction also?
Management: Exactly, as of now, I don't have those figures, but it should go accordingly because all subsidiaries are offering some around 10% to 20% of their annual production for e-auction.
Ketan Jain: No, what I'm asking is in e-auction also the grade mix is the same. That is G11 to G17 makes up 70% of sales through e-auction also?
P M Prasad: I can explain. Say in MCL, there is no G7, G6 grade. So 100%, whatever in their 15%, it is 100%, it is G11 to G17. Similarly, if you go to ECL, may be -- it maybe varying G6, G7, G8, their production in Sonepur Bazari. So it is a subsidiary specific. But overall, as a Coal India, you can see 15% in general what we are offering, grades may vary, percentage.
Ketan Jain: Okay. My next question is on employee cost...
Moderator: Sorry to interrupt. May we request you to return to the question queue for the follow-up questions as there are several...
Ketan Jain: But you let many people ask several questions. You should have restricted them also right?
Moderator: So there are still several other...
Ketan Jain: I know. What I'm asking is, you let others also ask 5, 6 questions.
Moderator: Sir, I am not stopping you to ask...
Ketan Jain: No, I understand. This is Bharani from Avendus. I understand, but...
P M Prasad: Mr. Ketan, can you make it just fast, please?

Ketan Jain: Yes. So just asking when we would be expecting the employee cost hike, next?
P M Prasad: Not now. Definitely, not in these 2 years.
Moderator: The next question is from the line of Anupam Gupta from IIFL Securities.
Anupam Gupta: Sir, just one question I have. In your presentation in the balance sheet, receivables has jumped quite a bit versus INR13,000 crores start of the year to INR17,000 crores now. What is driving that? And where do you think it will settle given that you have excess inventory at your hand at the past months as well?
P M Prasad: We are trying to pursue with all the agencies, whether it NTPC, DVC, we are in continuous than we want to realize also. But some -- at places, we have recently settled long pending in case of Jharkhand, similarly with the DVC, WPDCL, we are in constant -- Mahagenco, we're in constant touch, so it is -- more or less, it will be in the same range, not much of accumulating more than that.
Moderator: The next question is from the line of Prachi Chopra from Citigroup.
Prachi Chopra: Just on the e-auction, is there a cap on what -- how much you can sell in the e-auction market?
Management: Normally, Coal India is mandated to offer at least 10% of the production for e-auctions in order to develop the spot markets. But if the requirements of power sector and the linkage consumers of non-power is met, then this volume can increase up to 20% of their production.
Prachi Chopra: Okay. And on the linkages in the FSA, so for the power and non-power sector, your -- you get penalized at below 80% or below 90% mark?
Management: 75%. Both consumer as well as...
Prachi Chopra: Power sector as well?
Management: Yes.
Prachi Chopra: So long as you supply 75% on either, there is no penalty, that's what you're basically required to supply?
Management: Yes, on both sides.
Prachi Chopra: So just -- sorry, just to take this a little forward. So the fact that your e-auction volumes are going up, obviously, it means that you are supplying closer to the ACQ, right, not 75%?
Management: Yes.
Prachi Chopra: Okay. And just last question on the target that you have for 838 million tons next year, what is the breakup of the power and non-power as well as -- I mean, from a growth perspective, breakup or growth either?

P M Prasad: 661 power, we have already mentioned. NRS, it is 100. Balance 67 also, will be going to the same NRS sector.
Management: So out of power regulated sector prices is 661 is the requirement they have given and the balance will go to non-power. In 661 also, we -- some of the coal we sell under Shakti for auctions are short-term power, etcetera. So -- but that basket is different.
Prachi Chopra: And what is our number for the 780 for this year, what is the power requirement?
P M Prasad: 610 was the power requirement. We are going to supply more than that.

Moderator: The next question is from the line of Jitaksh Gupta from Tikri Management.
Jitaksh Gupta: Sir, I have two questions. One is that your target is 838 million tons based on the demand projections. In case if the demand goes up beyond 838 million, will Coal India will be in a position to supply more?
P M Prasad: Definitely. Coal India will be in a position. We are continuously pursuing other clearances and other logistics. We are having 100 million -- maybe 85 million stock by this March. So we have to see the dispatches also in place.
So based on our stock position at our end, power plant end and 838, whatever is given, 838 is also, almost it is 8% to 9% growth. If demand is there, then definitely, we will also try to liquidate the stock and we'll meet the demand.
Jitaksh Gupta: Sir, my second question is that the FSA coal price increase was in 2018. Is there any proposal to increase it -- the FSA coal price?
P M Prasad: No. Right now, there is nothing.
Management: 8% we incr

eased from G1 to G10. That's it.
Moderator: The next question is from the line of Shweta Dikshit from Systematix Group.
Shweta Dikshit: I just wanted to, can you please repeat the capex number and the capex plan for next 2 years, like FY '25 and '26? And any visibility on the volume numbers for FY '26, is there a target set?
P M Prasad: It is more or less in the same range with a slight increase. Once our coal gasification and other things materialize, it may be 18,000, 18,500 range. This depends on the project execution, fixation of the operator whomever gets it. And once it is started, every year, we will be increasing till the finishing of that project.
Shweta Dikshit: So we can assume like if you say -- I mean, we expected to remain flat or we can take a nominal growth of around 4% to 5% or lower than that?
Management: Madam, initially, when the project starts, at that time, the capex growth very sharp rise. But after 2 to 3 years in the power sector, when the project is about to commission, then the capex goes down. And similarly, in the solar, when the project is going, first 2 years, the capex will be very

fast. And then they will slow down. It will be almost increasing for next 3 to 4 years. And then after that, it will come down.
Shweta Dikshit: Sir, sorry, sir, I was talking about volumes for FY '26. That is where I was assuming a growth number?
P M Prasad: As you are telling, INR17,500 crores next year. In FY '26, it will be around INR18,000 crores.
Moderator: The next question is from the line of Anupam Gupta from IIFL Securities. Mr. Gupta, your line is un-muted. You can proceed with your question.
Management: Probably, we may take the last question as we are running short of time, okay?
Moderator: The next question is from the line of Darshan Gangar from First Water Capital.
Darshan Gangar: Sir, can you throw some light on your upcoming thermal power plant? And whether the capex you mentioned includes that capex or it's different?
P M Prasad: In MBPL, some capex is included next year in MBPL. In MPPGCL, once into 660 megawatts, we have right now not included. That is why that INR1,000 crores numbers may vary subject to the progress of the project. In both the projects, we are in touch with the state governments.
And here, land acquisition is also going on in MBPL. In MPPGCL, our final -- PMC, NTPC, we are fixing a PMC consultant in both the cases. But in MPPGCL, it has -- progress is a little less, but MBPL, the progress is going on. Subject to that finalization of the contract in a year's time, then once they start then the capex may vary in the next 2, 3 years.
Darshan Gangar: Okay. So total is around 4,000 megawatts of capacity when they come?
P M Prasad: No, 4,000 we are not -- MBPL also, first phase, it is only 2 x 800 megawatts, 1,600 megawatt only.
Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments.
P M Prasad: So thank you all for your questions-and-answers from our side. We thank all and you can see the first 9 months performance and we are optimistic to achieve this -- to maintain the double-digit growth in production and dispatches. Definitely, we are trying to -- though 39 to 40 days are left for this financial year to close, the 10 million tons also, we are trying to make up from others to whatever extent is possible, but with maintaining with almost close to 10% growth in case of production and dispatch is also 8%. Power plant target -- for dispatches, we are ahead of the target. Similarly, overburden, almost 19% growth is there so that we are preparing for next year also. Thank you.
Management: Thank you.
Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2025

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Ref.No. CIL:XI(D):4157/4156:2025: Dated:17.05.2025

To,
Listing Department,
Bombay Stock Exchange Limited,
Scrip Code 533278 To,
Listing Department,
National Stock Exchange of India Limited,
Ref: ISIN – INE522F01014

Sub: - Transcript of Investors' meet of CIL held on 14.05.2025 at Mumbai.

Dear Sir/Madam,

Further to our letter no CIL:XI(D):4157/4156:2025: dated 07.05.2025, Transcript of Investors' meet for CIL held on 14.05.2025 at Mumbai is enclosed as Annexure and is also available in Coal India website (www.coalindia.in) under tab INVESTER CENTER :

This is for your information and record.

Yours faithfully,

([redacted]/B. P Dubey)
Company Secretary/ [redacted]
& Compliance Officer/ [redacted]

Encl: As above

COAL INDIA 14th May

Parthiv Jhonsa : Thank you all for coming to Coal India's Analyst Meet 2025. We have with us Mr. Mukesh Agarwal, Director (Finance), Mukesh ji, Director (Marketing) and Mr. Dubey, Company Secretary. Thank you everyone.Without further delay, I'll just hand over to the management. Thank you.

Mr. Bijay Prakash Dubey : Good afternoon, everybody. As already the management team has been introduced by Anand Rathi and Company.Chairman CIL could not attend the meeting due to work exigencies. I just want to inform you that the presentation for today's meet has already been uploaded to the company's website and also informed in NSE and BSE. In the board meeting held on 7th of May, the PPT and results were also uploaded, references were kindly withdrawn to them. The session is around one hour. We'll be ending around 4.30. I think that's fair enough, everybody.I request participants to kindly introduce themselves before they start the questions, and the sessions will be recorded and uploaded to the website due to regulatory reasons and references kindly be drawn to it. May I request the participants to kindly start one by one. Thank you.

Jyoti Singh : This is Jyoti Singh from LIC MF, my first question is based on volumes. FY25 we saw almost flat volumes, any reason for having no growth in this year-end in terms of volumes.

Mukesh Choudhary : Actually, we had the projections from seven subsidiaries and the slippages were from South Eastern Coal company andCCL, Central Coalfields Ltd. At SECL, the main issue was abnormally heavy rainfall, seasonal rainfall and certain issues related to land acquisition there and in CCL also issues related to clearances, EC and FC clearances from the Ministry for certain patches. So that was the main issue where the production was slightly less than what we are projected.As far as demand is concerned from these two subsidies, we don't have any shortages of demand rather the consumers, they want more coal from these subsidies as of now.

Jyoti Singh : So has this been cleared now or will this still prevail in the coming quarters

Mukesh Choudhary : This year if you are able to meet the guidance what we are given, then probably it should clear the backlog. So we are closely monitoring the production from these two subsidies and by H1 we should get a clear direction as to what quantities and how much percentage they are going to achieve.

Jyoti Singh : Any guidance in terms of volumes for FY26 and FY27

Mukesh Agrawal : 875 million tonnes

Jyoti Singh : 26, 875 and FY27

Mukesh Agrawal : That is around 900 plus

Jyoti Singh : Will this be coming from, basically you had first mile project, first mile connectivity project, so just wanted to know how much has been covered and this incremental volumes will be coming out from there [inaudible]

Mukesh Choudhary : Last year we actually had a growth of around 32% in terms of rake loading through the FMCs and this year in the first 45 days we already had a growth of more than 15% there and the new silos which are coming up in the subsidiaries of Mahanadi Coalfields and CCL and NCL will further increase that. So, we are expecting a growth of around 20% or so in this FY as compared to last year.

Jyoti Singh : Last year, how much was it from FMC in terms of volume?

Mukesh Choudhary : FMCs, our rake loadings have increased from 292 to 311 rakes or so and in terms of the rakes we have increased from 52 rakes to around 76 rakes in the last FY. Exact figures for silos…Okay...Last year we had a loading of 72.7 rakes per day and this year we had in so far in 45 days we already have a loading of 87.1 rakes per day which we are planning to takeit down to at least up to 100 rakes per day.

Jyoti Singh : Now, with imports also incrementally coming up, it was 190 million plus last year and with also most of the captive mines coming especially from the nonferrous metals and aluminium companies setting up their own captive mines, how do we see the market share of Coal India moving ahead? Are we still able to capture or are we missing on that part and if yes, how are we going to go about that?

Mukesh Choudhary : Actually, the total market share from CIL, this year wethe coal production from captive and commercial is going to be somewhere around 185, they landed at 198 million tonnes and going ahead with the projections, 320 million tonnes we are expecting to come from captive and commercial. So, the entire coal is going to come and eat into Coal India’s share because it is how the mines have been auctioned and that is how it has been taken. From our side, the new capacities which are getting added by the power sector number 1, the capacities which were stressed standard assets, and which are now getting regulated through either NCLT or through other means,they are coming now into regular production. This demand is coming there to us and the capacities which were earlier importing some amount of coal which was varying from 1% to 10% for blending at different places, that has now been reduced to zero.So all this addition is going to be added there with us and when we check with our availability then we find that we need somewhere around another 30 to 40 million tonnes more of the long term commitments from the non-power sector as compared to what we are having. In the last two years, we have already increased it by around 28%. From 90 million tonnes, we have already reached to115 million tonnes for the long term linkages with the non-power sector and 320 million tonnes coming and eating into our shares and the existing commitments what the generators have already made with us for coal supplies in 2029-30 that leaves us with another scouting for around 35 million tonnes more of long term commitments from the market and that includes around 10% of my total production will probably be taken by spot markets or e-auction markets including the trade exchange which the ministry is actually working out and the spot auctions what we actually carry out.So, we have factored this into account.

Jyoti Singh : So if I take this like a captive mine is taking place, how do we see the e-auction going ahead? What is the premium at present versus the Q4 and how do you see that going ahead?

Mukesh Choudhary : The premium in Q4, actually this is a seasonal thing, it varies. For Q4, my premium was around 43% and Q3 it was 55, Q2 was 50, Q1 was 46.

Jyoti Singh : Spot will be how much?

Mukesh Choudhary : I am telling about

spot only.

Jyoti Singh : Q4 is 43, what premium versus the Q4 average would be?

Mukesh Choudhary : This is the premium over the non-power sector notified prices what we have declared.

Jyoti Singh : Current premium, current e-auction premium would be how much as compared to the Q4 premium of 43%?

Mukesh Choudhary : Currently we are right now at around 43% and if we take out those two years where there was an abnormal increase to 250%, 300% premiums were obtained in the market due to whatever coal availability scenarios. Other than these two years, if we see the historic premiums of Coal India Limited, then normally they have hovered around 35% to 40% when the spot markets were there.So, we think that probably it is going to be within that zone only. If it comes down, maybe it may come down to 30% or so also. Because this demand is taken for meeting the seasonal or cyclical requirements and this is not a base load normally type of a demand which used to be earlier.When the base load people they came to the e-auction market, then we had that premiums of 250, 300%. But otherwise, if we see in the business as usual scenarios, normally the markets were fetching us a premium of somewhere around 40%, so 30% to 40% is still what we are anticipating it should give us. With power plant stock of more than 54 million tonne, if we are getting 40%, then we are hopeful that we should be able to get this premium.

Jyoti Singh :So, in the last couple of months, we haven't seen the volume growing as such, so was it particularly because of those two, CCL and SCCL, or it was because of any lack in terms of power demand, so what was taking down the volume?

Mukesh Choudhary : The issue was basically at these two places, we have still got consumers where there is a huge unmet demand, CCL and SCCL. And this is despite the fact that around 54 million tonnes of stock we were able to build. But if we see it from the point of view of non-power sector consumers, then we find that still we are having backlog areas which railway is still to supply for around two years or so.And there is a huge demand from the sponge iron sector which is actually heavily located in and around Chhattisgarh and SCCL. So there also we were not able to meet fully the demand in the auctions for linkages. And so we have to actually postpone it some part of the demand to the next tranche which we are going to conduct in October.So demand is available there. And in CCL also this year, based on the clarifications given by the Hon'ble Supreme Court, they are in a position to impose their own royalties or taxes on royalty. They have increased the royalty by Rs.150.But still the off-takes from CCL, they are growing. And the stocks what we had at CCL and SCCL are less than the stocks what we had a year ago at the same place. So if the production picks up from these two places, despite the royalty increasing the price of CCL coal, still the unmet demand for consumers from that catchment area is there.

Jyoti Singh : Will that uptake come in the month of May?

Parthiv Jhonsa : Request the participants to please use the mic for asking questions.

Mukesh Choudhary : Will that uptake?

Jyoti Singh : Can we see that in the month of May, some sort of uptake in terms of volume?

Mukesh Choudhary : In terms of volume, if you see the same month on month comparisons, then April and May we are in positive around 2 to 3% growth is there in CCL. So, CCL we are already growing. In SCCL, there is a reduction as compared to last year.So, there are issues related to evacuation infrastructure and as well as coal being made available from different places. So, there we have to sort out some issues which are internal to us. But in CCL, yes, there is a growth.The growth may not be of 10% or so, but the demand is still there.

Jyoti Singh : Thank you.

Arjit Dutta :So, continuing with her questions, 15% volume growth. Last three year

s

we struggled to achieve double digit.CCL will be doing better, accepted. But 15%, don't you think it's too optimistic,especially when we are in a subdued demand environment, captive mines are ramping up. Even in the auction, NCL and other players are ramping up their capacity very nicely.So, don't you think we are a bit optimistic in terms of volume guidance and most likely will be struggling to meet it?

Mukesh Choudhary : If you see the forecast, then for the last 2 to 3 years we have been projecting that production and offtake figures were the same. This year if you see the projections, then we are saying the offtake will be 25 million tonnes more than the productions which are there. Now when we go on this demand subsidiary-wise and try to see what is happening at different fronts, Northern Coalfields and WCL, the figures are almost in the same range what was there for the last 2 to 3 years.And the localised demand is also available there. Mahanadi Coalfields, yes,we are banking for supplies towards the southern parts of the country or the incremental demand which is going to come. And SCCL, there is a huge demand which is still unmet in the catchment area of SCCL.What I was saying is the sponge iron sector is asking in the newspaper report, for more linkages from that place. We are not able to do that. And in terms of the e-auctions also, what we have tried to do is to increase the e-auction volumes.Because if you see the volume, the percentage bookings have come down as compared to 21-22 where the booking was almost 100%,last year the booking levels came down to 63%. So, we are increasing the quantities in the markets.The quantum of bookings happening is reducing as compared to 21-22, meaning thereby that consumers are becoming choosy and they are picking up their time and their places from where they want coal. So, Q1 in case of power was slightly subdued. But this increase in supplies from the captive and commercial, this was anticipated by us.And this, that's why we are giving a projection for year on year how much is going to come from captives and commercials. And the same rate of subdued demand from the power sector, if it is going to remain in Q2, Q3, Q4, then it is going to be a different scenario altogether. But otherwise also a ballpark figures of around 2.5 to 3% growth in power sector and the new capacity additions of coal-based plants which is happening, 14,000 MW if it got added during last year and this year also if the pipeline capacities what we have planned, Ministry of Power has planned and if they come. The old plants are not getting retired. So, if we get that 2.5 to 3% growth which is not a very highly ambitious or a very optimistic figure, then also this demand should be actually be consumed by the supplies from Coal India.Today's newspapers, they have reported that from April to February of the last financial year, the imports have reduced by around 10%. So normal growth in coal consumption is happening and the growth is not happening in imported coal-based, rather it is actually now contracting. So in the imported coal-based also, the imports what we are doing, if we keep aside the steel coking and the coal consumption by the imported coal-based power plants and the coal consumption by some consumers who want only high grade of coal, they are sensitive to the quality of coal, then also somewhere around 60 to 100 million tons of coal on a rough estimate should be available where based on increased supplies only and the landed cost of coal if it is going to reduce, that should be actually be available to us.So we are actually looking towards that side also for increased supplies we can reduce that and this is also evident in the non-power linkages what we are offering them. So previously two years back, our linkages were how much, 90 million tonne and the tenure was for five years. Now in less than two years, our linkages have grown by around 29%,

more than 115 million tonnes we have already got, gasification and steel coking are still to happen for this 8th tranche and the supplies to non-power are also increasing because previously for the last three, four years, the supplies from Coal India were heavily biased towards power sector.80 to 82% of supplies were being sent to power sector while non-power was only hardly getting around 18 to 20%. So, this, as per our initial estimates, we should be actually looking towards 75% to power and 25% to non-power. If these things they happen, and with the captive coal coming at the rate at which it is coming, then also we will be able to keep on meeting the demand and for CIL, if you see the projections, then from 1 BT to 1.1 BT, there is slightly a plateau which is happening, 28-29, 1, 29-30, 1.043 and then five years down the line, also it is 1.227 depending on that call we will take when we reach 29-30, whether the growth is required or whether the demand is actually saturated in the market.So as of now, by 29, 30, we see that the demand of coal should be on a sustained basis.

Arjit Dutta :Thank you, sir.The Jharsuguda-Sardega line, is it operational now, the double line?

Mukesh Choudhary : Next year, by May, it is supposed to come.In Jharsuguda and Sardega, the silos which were there, those silos have started coming up. So Jharsuguda-Barpalli, this is the 65 capacity, so by next year, it is supposed to come up.

Arjit Dutta : Sir, next year means 2026.What I remember, it was supposed to come in September'23, that was our forecast three years back, right sir? Why is the delay happening there?

Mukesh Choudhary : Delays are happening in the railway lines because of many factors including land acquisitions and the involvement of other players which are there, along with railways also. So, we had these issues with the Tori-Shivpur line also, which is now almost fully operational, and with the CRL line also. So CRL line is also now fully operational, now we are depending on the capacities of the capital blocks to be ramped up so that the traffic can come there.And similarly, CEWR also, East-West line also, is likely to come up by this year, if not by next year, because of certain new guidelines regarding the directions from the EC for elephant corridors to be introduced at certain places, because of which the estimates have to be revised and we have to undertake a revised DPR for that. So, there are issues which are coming in the projects which are of high value, and in case of railways where land acquisition is concerned, but we are hopeful that this time round we will be able to overcome it.

Mukesh Agrawal :Projects are always slightly tricky.

Mukesh Choudhary : Slightly tricky, but I think this time round, whatever delays, they have already been factored in, the amount of expenditure which has happened and the level at which it is there, it should now, we should be in a position to reach those places.

Arjit Dutta : Sir, what is the current stripping ratio?

Mukesh Agrawal : 2.67

Arjit Dutta : 2.67, okay. So the stripping ratio is consistently increasing in my view, right sir?

Mukesh Agrawal : Yeah.

Arjit Dutta :Understood. Sir, another thing for BCCL, what would be our coking coal capacity there and the volumes?

Mukesh Choudhary : Coking coal capacity is BCCL, the entire production is coking coal only, so we are planning for three coking coal washeries there. So as of now, we have supplied them somewhere around 3.7 million tonnes of coal to the steel sector, out of which 2.4 or 2.7 was actually washed.So, BCCL, the entire production is basically coking coal. We are not able to use it fully because of the lack of washing capacities. So, we are taking two-pronged approaches to meet the requirements of steel sector because this coal is going to be used, coking coal, only for the purpose of blending.It cannot entirely substitute the imported coal beca

use of the ash content
what is there. So, for that, one is the washery monetization, so 2 million tonnes of Durga Washery we already auctioned and JSW Steel has become the successful bidder wherein they are going to monetize the washery and take around 2 million tonnes of coal from this thing, BCCL. And similarly, in the steel coking coal linkage auctions, we have carried out a number of reforms because 20% of the coal only what we supplied raw to them can be used directly for steel production.The rest 80%, either it goes at middlings or as rejects, which previously they were not in a position to actually resale. So, we have allowed them in the last tranche the option to come and participate in the linkages by forming consortiums. So the lead partner will use the steel after washing and the middlings which are getting generated, they can be used by the consortium partner in any CPP or a cement or a sponge iron or whatever sector, so that the participation here increases and because of that only, first time the participation of the steel sector was there, we got some premiums also and steel coking coal was booked.This year, the 8th tranche is going to open up from 20th May. There is a demand from the steel sector, okay, the reforms or the enablers, what we have introduced are good. They wanted one more issue, that the flexibility to change the consortium partner, the one who is using middlings, they don't want to lock in with one partner for a period of 15 years because over a period of 15 years, many changes, they happen.So this time around, we have allowed them to change the consortium partners at least twice during the linkage duration, subject to a condition of minimum three years, he has to be there, so that they get an assurance that even if the current consortium partner does not want to continue for 15 years, they can have some more options. So, this is also likely to increase their interest in this one. And once our washeries come, which are already in pipeline and will start coming up from next year, then the supplies to steel coking will increase and we are thinking that we should be in a position to actually supplement the steel coking demand which is posed by the steel sector.

Arjit Dutta : Sir, for the mechanized evacuation, what is our current rate that we are doing?

Mukesh Choudhary : Just now, the figures what I told you, we had a 32% jump as compared to last year and this year again, we are having a jump of more than 15%.

So, if I give you the figures per se, last year we loaded somewhere around 311.2 rakes or so. So out of that, around 72.7,if I take the full year average, 72.7 rakes were loaded per day from the silos.This year on the first 45 days, we have loaded 87.1 rakes as compared to the 72.7.

Arjit Dutta : [inaudible]

Mukesh Choudhary : One rake is somewhere around 3,800 tonnes per day. So whatever dispatches we do there from there, so it will come. And we think that we'll be able to take it to around at least 100 rakes by Q2.100 rakes will come by Q2 itself when the new silos will come. But by 29-30, if you see in terms of the capacities, then around 900 million tonnes of our capacity will be enabled to be moved through the first mile connectivity projects.

Arjit Dutta : Pardon me for my ignorance, sir.Is it 150 million ton that is happening now?

Mukesh Choudhary : 150 million tonnes was already when we took up the initiatives for the first mile connectivity. It was already there. The 150 million tonnes why we are actually getting is the installed capacity which is there with me.So, if there is a demand and if railway is able to provide me rakes at only those silos, then 150 million ton per annum I can load. But actually what happens with railways is I have got a set of sidings. One is a silo and one is a conventional waterfall siding is there.So, in a bunch when railway rakes they arrive due to whatever reasons, then they are not in a

position to wait at a certain place. Whatever place they get, they place the rakes and we are asked to load. So, because of that at times even if you don't want to load the rakes through the conventional this thing, but because all the rakes have come at the same time, then whatever capacity is available with me in terms of infrastructure, we start loading from there.But if railway is able to arrange rakes in a very systematic manner, one after another it keeps on continuously flowing for 24 hours of the day, then 150 million tonnes is our capacity there. And some of the times even we falter because the mine which is linked with that particular FMC, if due to whatever reasons, local reasons, strikes, etc., or less production, if it doesn't feed at that rate, then from our side also we are at times not in a position to load the complete capacity of the FMC what is available. So, on both these accounts, this installed capacity, fully we are not able to use all the times.

Arjit Dutta: And the problem that you mentioned is mainly in SCCL. Can we assume that because the rake problem is higher there?

Mukesh Choudhary: In SCCL, if we go for FMCs, then Northern Coalfields, we have got the capacity which is more or less fully utilized. In CCL, we have got a capacity loading four rakes per day.We are loading around three rakes per day, only one FMC at Urimari which is presently operational. Then we go to ECL, we have got only one silo in terms of rakes. Whatever we send through MGR is a different capacity.But whatever we send through the rakes, we have got a capacity of around 12 rakes. We loaded around 9 to 10 rakes because of less loading during the period of Q2, during rainy season, yes. And then the main issue comes in SCCL and Mahanadi where we are having silos but the spread of railways, it requires that coal should be made available at all the sidings.And at some places, even with our silos, because of the issues of less production or less availability during the rainy season, the full capacity of the silos or the FMCs was not used on both these accounts.

Arjit Dutta :Sir, last question from my side, if I may. On the bridge linkage, currently what would be the volume that is going for this bridge linkage?

Mukesh Choudhary: Bridge linkage, I don't have the figures immediately with me but I will check, and I will get back to you.

Arjit Dutta: Is it, I mean, what would be the premium in bridge linkage? Can we assume 60-70%?

Mukesh Choudhary: No, no. Bridge linkage is fixed. Bridge linkage is, previously it was on a best effort basis but then we started charging 40% above the power sector notified prices to the consumers and that is flat.Right from the first turn up to the last turn, we charge 40% except for the first three years of the bridge linkage. That means from the day the mine was allotted. So, if the mine is allotted and it's supposed to be operational in three years, if it becomes operational then it was at the power sector notified prices but wherever the bridge and all the bridge linkages have so far been extended because none of the mines have come in the first three years of their allotment.So all the bridge linkages they are going at around, not around, exactly at 40% more than the notified prices of power and the figures, maybe I'll just check and before we close this meeting, I'll let you know.

Arjit Dutta: And the charges, so like Rs.150, loading and unloading fees and all are...

Mukesh Choudhary: All are other, other than that all charges are applicable as are applicable for power and non-power. Same.

Arjit Dutta: Perfect, sir. Thank you, sir.

Yash Patel: Hi, sir.This is Yashfrom ICICI Prudential Mutual Fund. I had a few questions. So, one, you said that the cap, the supplies from the captive and commercial mines will go to around 320 million tonne.Am I right? This figure is for the coming year or in the years to come?

Mukesh Choudha

ry: 29 -30.

Yash Patel: Till 29-30. But as I understand whatever mines have been auctioned, their actually peak rated capacity is around 500 million tonnes.So you don't see them…

Mukesh Choudhary: By 29-30, this 500 million tonnes coming, we are not projecting. We are going by what Ministry of Coal has projected based on the mining plans what they have approved. So, so that was around 320.

Yash Patel: Till FY30. Done.

Mukesh Choudhary: FY30.The initial first, the production increase comes up very fast when the mines are starting. And after that, it depends on the new mines which are going to come up. So, starting new mines in... These are the low hanging fruits which we are right now getting.And just now what I told you for bridge linkages, all the bridge linkages are more than three years. Means none of the mines have become operational in the first three years. So, these are the mines which are allotted in 2016, 17, 18 and now they are coming up.So, these mines will... And further mines which are there. They'll keep on coming up by ‘29-30. If the figures, they change, then two years down the line again we'll have a relook at our figures and the market figures and our plans and that's where we are going.

Yash Patel: Okay. So, maybe the 50 million tonne incremental addition that had happened last year. This year, maybe it would be just 10-20 million ton as per your projections.

Mukesh Choudhary: Around 20 million tonnes.

Yash Patel: Around 20?

Mukesh Choudhary: Yeah.

Yash Patel Alright.Sir,next thing is, there is this new Shakti scheme that the government has launched. Can you just explain us, is there any benefit that Coal India specifically would derive out of this? And who are the specific customers that this scheme target is targeting?Because I understand before also you had the Shakti scheme, you could take linkages. So, what is different now?

Mukesh Choudhary: Actually, if you see the power sector then from 2007, '11, '12, then '17, and then again '19, the policies which are in place for supplying coal to the power sector in a transparent and objective manner, they keep on getting updated based on the market dynamics. So, 2017 we had this equity policy where everybody was getting coal on an auction mechanism instead of a nomination based mechanism. Nomination based was only available for the state and central gencos where the profits or whatever was going ultimately to the PSUs. In this case, what they have now said is that the centralgencos will keep on this is what I read in the newspapers, the formal orders, I think,they are on their way today andwe are going to receive them,the center gencos will get linkages on nomination basis. The states will be getting linkages on nomination. They can use it for two purposes. They can give that linkages to their own generating stations, and that's a nomination basis again.Orthey can use this quantity and ask for tariff based bidding from private players. Means, we offer them linkage at 25 prices of power, no premium there. And they inbuilt this linkage in the bidding document for the tariff based BPS and ask for bids. Whosoever is the lowest bidder, they give this linkage to that bidder. So there, they can use.And then in order to meet the short term power requirements also and for those players where the states may not like to embed the linkages from CIL at notified prices in the bidding document. They may just ask for PPAs and coal maybe source them anywhere. For them, we are having two windows. One will be a short term window. One will be a long term window.Short term windows, maybe they can source power for a period of around seven years. Long term window, they can source power for around twenty five years. And the existing players who are also there, they can also switch over to this window. But provided they should first lift 100% of their assured quantities from the existing linkages and then b

alance for
whatever reason, some grade slippages or quantity is less or more generation requirement or whatever is there. They can shift to that.So,that flexibility has been given to them. So, they don't have to depend entirely on the existing linkages. If they want, then they can play it on both sides. Means they can take it from my existing FSA, or they can go and participate in the auction windows and take coal from there also.

Yash Patel: Sir, lastly is there any contingent liability relating to the tax on minerals case from Supreme Court hearing?

Mukesh Agrawal: Actually, that case is an under review and as on date, there is no final outcome so we had not taken any liability.

Yash Patel: Last time, we had estimated around some 35,000 crores or so…

Mukesh Agrawal: That is estimated as theirsbut actually the order should come and then any liability should arise. As at present, there are different people clubbed petition is there. First the review petition is heard and after that a specific order will come. After the order will come, then we will see what will be the liability on this account.

Yash Patel: Lastly, on the e-auction part of the business, what's our thought process behind that?Do we have a specific percentage that we like to keep for e-auction? Ordo we say that we can do as much as we can. We'll just go and just flood the market with the e-auction volumes if our FSA, is obviously fulfilled.

Mukesh Choudhary: Actually, e-auctions, we were given, first amended, Coal India was given amended in 2007 that in order to develop the spot markets, at least 10% of your production will be offered in the e-auction markets to develop the spot market and meet the seasonal and cyclical demand of the consumers. So that was one guideline.Then 2016, we gave them another guideline that you can offer up to 20% that is subject to the condition that the FSA requirements are met. The thought process behind this probably from the government was that we should not be trying to actually maximize the revenues by going through at the cost of the long term linkage consumers. So that was there. So now what we have done is key since some subsidiaries, they are having high stocks,some subsidiaries like Northern, there is a huge demand from the existing consumers. And CIL as a whole is supposed to meet this range of between minimum 10 up to 20. So, we have asked Northern to slightly reduce the quantities and keep on offering more for the FSA consumers which are there. And the other subsidiaries, we have asked them to offer up to 40% of their monthly production if they so want in order to liquidate a stock from a certain mine or a certain place. And then by Q3, we'll again take a stock because we know it's probably not going to, by whatever chance, it's not going to increase beyond 20 also.So, to give them some local flexibilities in some pockets, we have given that. So based on that, the subsidiaries now, some subsidiaries, they have increased their offer of beyond 20% of their monthly production also,some are still at 10% to 12%. Some subsidiaries, this is a dynamic pricing process, so, some subsidiaries are reducing their reserve prices.Some subsidies are actually keeping it at the same levels depending on how the market is responding. So,10 to 20 is the range where we have to be there at the end of the year.

Yash Patel: So basically, what you mean to say is if there is demand in the e-auction and if you have committed your FSA supplies, you'll be supplying whatever you can up to 40% wherever.

Mukesh Choudhary: Yeah.

Yash Patel: So currently, if that is not happening, it means that there could be, lower demand, is what I'm implying.

Mukesh Choudhary: A number of situation that some places where the issue of railway rakes is there.So there, in that case, we may not be in a position, or we are not interested in further increasing the railway load. Therewe try to increas

e offers
through road mode. So,road mode also again, the road mode normally attends to the local demand, which is there within normally around 50 kilometers or so normally. So, if that demand is saturated, the offtakes will be lesser. But, whatever trends we have seen so far, the percentage premiums what we are getting is somewhere around 40% and the bookings are in the range of 55-60% of whatever we have offered to them and these numbers will again change because historically, we have seen during Q2, the bookings, they increase and the supply from my side, they reduce. So, overall if we see, probably around 30-40% somewhere… of the premiums, we should be getting. This is the long term seven-year average if we see, taking out the two years of abnormal of very high premiums.

Yash Patel: And volumes around 10% to 15% total.

Mukesh Choudhary: 10 is minimum we have to keep and around 20% beyond 20% we'll not allow as of now. So but even at 20% and 850 million tonnes of production, that makes around 170 million tonnes of coal being booked which should not be an issue because last year we were in a position to book 90 million tonnes only. So, we are not worried that we are going to increase 20%.

Yash Patel: Sir, and just one last question. How do we see the employee cost going ahead from here on and how much of the employee count is reducing every year and projected to reduce every year?

Mukesh Agrawal: Presently we have around 2.20 lacs employee.On average,12000 employees are superannuating every year. Against those, we are recruiting some 1000-1500 people through the market and the land acquisition process. Manpower cost will continue to reduce next one year after that the wage revision is due in Jun'26 and the executive is in Jan'27. And then, the manpower cost will again increase.

Yash Patel: On an absolute basis you mean, say around 48,000. Alright, thanks.

Patanjali: Patanjali from Sundaram Mutual Fund. So, I have a couple of questions. One is, what is the share of MDO target for the next few years? And, what would be the differential in terms of cost structure if we use a MDO route to produce and sell versus doing it with our own employees.

Mukesh Agrawal: Actually, there is no such target how much will be the MDO or how much will be the departmental. We always encourage the departmental production but when we are taking new mines, we evaluate which mode will be the most economical. If the MDO mode is coming economical, then we are go with this but if there is a mine where there is already equipment, surplus equipments are there, manpower is available, then taking into consideration, we are taking a call. Based on which model is giving the best IRR, we are going ahead with that.

Patanjali: Sir, and you have given guidance forFY26, which is around 875 million tonnes but power growth is only 3%. I don’t get the bridge of how the coal consumption can be significantly higher when your demand is growing only by 3%.

Mukesh Choudhary: The demand is growing by 3% but what we are looking towards is the coal which was number one coming from the imports that we just now we discussed that the figures of around somewhere between 60 to 100 million tonne is still there for us to work. Secondly, even on this high base, a 2.5 to 3% growth in the power generation, this translates to a growth which is in line with the and the new capacities which are getting into our sector for 14,000 megawatt which has come. So,these two things plus the growth projection which are given by Ministry of Power so that growth projection has given us 6% increase in coal demand from us, we are hardly taking 2.5-3% growth.

Patanjali: Sir,and current year, were there, like, meaningful delays in terms of commissioning of plants, FY25…

Mukesh Choudhary : Which is?

Patanjali: Power plants? Can you quantify how much that would be? Like, as per your estimate in the starting of the year,

what would have been your expectation in
terms of capacity available for supply and where was it at?What was the miss there?

Mukesh Choudhary: I didn't get the question clearly.

Patanjali: So for FY25, thermal capacity for which you could supply coal, how much was your expectation initially, and how much did it come out to be?

Mukesh Choudhary: Yeah. We had a plan of supplying around 645 million tonnes of coal for power sector, through all the bridge linkage and the regular ones.And we ended up at somewhere around 614. And in case of non-power, the balance growth, what we got around 10% growth from 133.8 to 147, the rest of the growth which came to us. Around 5 million tonnes of reduction in power and around this 10% increase or 14 million tonnes of growth there. So,5 reduction and 10 here, 14 million tonnes we grew in non-power. Total our growth was around 10 million tonnes as compared to last year.

Patanjali: So, based on what you are saying this year shortfall was around 40 and 80 million tonnes could get added next year, so, additionally closer to 100, 110-120 million should come in power demand alone for ‘26, is that correct?

Mukesh Choudhary: 120 means?

Patanjali: 120 million tonnes of additional demand for power sector for FY26. Will that be correct understanding?

Mukesh Choudhary: They have; this year they have asked us 686.

Patanjali: 686.

Mukesh Choudhary: For Coal India only.

Patanjali: Understood.

Mukesh Choudhary : [inaudible]…and captive and all those people they will also come into that. So, they have given us a projection of 686 only.

Patanjali: Okay. And last question, sir. E-auction, like last five or six years or even ten years, if we take the rate of growth is, like, five year volume would be around 4% growth and ten year is around 5.5%. So can you tell us, like, why there was a phase between, like, 2014-19 where the volume growth is very sharp and we hit, like, 100 million consistently. But today, like, we have tapered down from there. So it kind of, reduces our profit pool very significantly because we make probably two and a half or three times as muchas money doing that.So, what is the missing link here? Because on one side, we are not meeting, just meeting the 10% requirement, but it's a significantly higher profit pool for us. So why would we miss out on something?

Based on what you're saying, we can go up to 20%. So why where are we not able to meet this demand or what is happening?

Mukesh Choudhary: Whatever we have offered, so in '22, 23, whatever we offer, 98% was taken up by the market, whatever we offered. Then in '23, '24, 82% was taken by whatever we have offered for the full year. And 24-25, whatever we offered, around 63% was taken up by the market. So, this appetite of the market, it actually changes. During the periods of ‘21, 22, when it was picking up very sharply, you would have seen a sharp drop there.That was because of PSU, the thrust to supply to the long term commitments made to the power sector. So, it had its toll there. We first met the long term commitments, and the e-auction volumes was very low, the premiums were very high. But that, for a PSU, it happens. When shortages in the market occurs, we are supposed to be meeting the long term requirements. And now when the long term requirements are more or less met at most of the places, whatever they are projecting, then we are trying to see how best we can meet their unmet demand or the cyclical demand, which they are not able to contract through a long term demand.And at the same time, if you see my FSA commitments as compared to 2016-17, or, say, 19-20, the place where we are comparing, my FSA commitments have increased like anything, including both for power and non-power. So, if my FSA commitments increase, the consumer base within the country is the same. So, either it has to come down from the imported coal or the incremental growth i

n the economy which is coming there. So, we are on right now in order to meet the market demand, in order to reduce the reliance on import, the import person importing coal, he is going to reduce import only when I enter into long term contracts with him. Short term contracts, nobody gets the confidence of actually not, getting towards imports.So, this was one reason if we have to for, on a long term basis, if we have to get the consumers, then we have to offer them long term contracts. Last two tranches of non-power, what we have done, we have increased the tenure from five year to ten year. So, that from my side, I was able to lock in a consumer for ten years. From the consumer side, I was giving him an assurance of sustained supplies from one source for a longer period of time. So, these two factors means myself ramping up my long term commitments of power and non-power and consumers coming towards this side, this is the issue why we are not able to actually keep on increasing the e-auction volumes there.There was one question of bridge linkages. Just now somebody asked. 22 million tonne is my existing commitments with the different consumers of power and non-power.

Shivam Agarwal : Sometime ago you had given the guidance of capex of 80,000 crores previously, I mean, two quarters ago and today's presentation that was released yesterday, in coal gasification, it's coming around 37-38 thousand-odd crores. And the Thermal Power Generation Phase one is about 15,000 crores. So, where is the other balance going to be taken?

Mukesh Agarwal: Land, plant and machinery for the mine. These are the diversification capex. But the regular capex for the mines will continue where the land, plant and machinery and other equipment will be required.
Participant 1: Which will obviously go into the growth of the production. So, this could be like your maintenance capex. There is thermal project also. We are working Mahanadi Coalfields. [inaudible].. We are trying for the one DVC joint venture. So, all those capex will also come.These are only the diversification and critical mineral, we had not considered here. So, those figures are firm. Around 20,000 crores capex will continue for the next three to four years.

Shivam Agarwal : And when do we see the obviously, because we're going for gasification, we see the positive effect on the net margins. So, when would we be able to see that in the coming years?

Mukesh Agarwal: Actually, for this, we had called the bids.We had done a SonepurBazari coal to gas where we had formed a JV with the BHEL, Coal-to-Ammonium Nitrate. For that the bids have been called up. Let the bid come. We will evaluate whether the project’s feasibility is coming, after thatthe project will go on. So, it is still in the…

Shivam Agarwal : So, the capex numbers there would still not have been done right. It will happen eventually once the bids come.

[inaudible]… bids will come and projects will be confirmed.

Shivam Agarwal Thank you.

B.P. Dubey: Maybe we can take one or two more questions.

Basant Joshi: Coming to capex, you mentioned that 20,000 crore capex will be spent every year going forward. So, how much did we spend last year?

Mukesh Agarwal: Last year, it was 19,500 crore plus.

Basant Joshi: But sir, if we look at the cashflow, the cash capex was around only11,000 crore.

Mukesh Agarwal: Rs.14,000 crore is there. Apart from there, also some other places, capex and advances is there. [inaudible] gifts, and other things, If you go totally, it will come to Rs.19,500 crore.

Basant Joshi: And sir, again, when would be the non-executive wage revision be due? Because last time around, it was 22.

Mukesh Agarwal: Jun’26.

Basant Joshi: Jun’26. So, again we would be looking at some sharp increase in the employee cost. So, to tackle that are we taking efforts to increase the FSA prices?

Mukesh Agarwal: It will be taken call at the

Board at an appropriate time. Let the wage revision should be finalized. Based on that, considering so many factors, Board will take the final call how much cost is to be revised, when it is to be revised.

Basant Joshi: And sir, last year in your balance sheet you highlighted that you have around 15,000 crore receivable from the tax authorities. I think we also realized some money in the last quarter, so can you guide like how much have we realized, how much is pending and timelines for realizing the balance.

Mukesh Agarwal: [inaudible], some 3,000 crore has come that you had seen in other income. Other is also in the process. It has not come so far. So, Income tax cases always takes a longer time you know, 10-15 years.

Basant Joshi: But, those are settled cases right?

Mukesh Agarwal: This is the settled case for which the accounting has been taken place. Others are in the pipeline at a different [inaudible]

Basant Joshi: And sir, OBR balance we have around 58,000 crore in the balance sheet as a liability. So, like for in how many years to we plan to unwind that to the pnl.

Mukesh Agarwal: It is not a plan. It is the behavior of the mines. How the mines will behave. In the last two years, some Rs.7,000-8,000 crore has been unwinded and based on the mines movement and the mines nature, it will be. Even though we expect it will take three to four year or four to five years.

Basant Joshi : And sir, historically, we have kept very high cash balance because we had this OBR liability, our stripping activity liability in our balance sheet. Assuming this liability comes down substantially, would we still like to keep high cash balance or give out as dividend?

Mukesh Agarwal: There are two different thing. This OBR stripping is not a cash item. It is a non-cash item. So, cash balance is indifferent of the stripping ratio. So, whatever the other cash balance is there, that will be utilized because again and again we have a capex of Rs.80,000 crore plan in the next four to five years. And for that also, equity is required. Based on that, this cash balance, as and when the capex will progress, the cash balance will also be getting deployed.

Basant Joshi: Okay. Thank you sir.

Parthiv Jhonsa: We will just take the last question.

Participant : Hi sir, just wanted to know what's our view on the pricing front in terms of e-auction prices like, we see a general trend of coal prices are kind of weakening. So, are you also seeing the similar trend of e-auction prices?

Mukesh Choudhary: Normally, e-auction prices if we see the historical trend of CIL, then number one, it has moved in tandem with the imported coal-based prices. This is one correlation we do if we map the e-auction premiums and the imported coal-based prices where it is gone. That is one. And historically, in terms of absolute numbers, it is around 30 to 40% it was there. Now, with the commercial and captive mines coming and the sufficient coal stock at the power plants and we may get somewhere around 30-35% or so. That will depend. As of now, we are still getting 40% or so. So, this will be dependent on how the market will get its supplies from the different players in the market.

Participant : So, the near term trend as per what we see is a big challenge in the pricing front right?

Mukesh Choudhary : Challenge means I don't know when coal was available in plenty, then also we had 35-40% premiums. When coal was in shortage, 2017-18, the also we had a 38-42% premium ranges overall, some places high, some places low. So, it is very difficult to forecast the prices what you are going to get in the next quarter but probably the guidance is that we are going to be somewhere between 30-40.

Participant : And in this 875 million tonne, the guidance that you had given, how much is the e-auction volumes?

Mukesh Choudhary: E-auction volumes, again, we said 87.5 I am supposed to do benchmark

and around 170, I have to do again because that is the upper limit. So, it has to be somewhere in between them and how the market takes up. Last year, we were able to do 89, so, this year our idea will be because we have to liquidate 25 millions of stock also with us. So, our idea will be to offer coal, if the market takes upto 20% of our production. If it doesn't take then the final figures, we will form up maybe by the third quarter when we get a better clarity on how much has so far been booked by the market.

Participant : Okay, but you are pretty confident that there will be a reasonably good growth in that.

Mukesh Choudhary : Yeah.

Participant : Mid-teens kind of? In double-digit kind of growth?

Mukesh Choudhary : Yeah. Atleast.

Participant : Thanks.

Parthiv Jhonsa : Thank you everyone for coming.From the entire team at Anand Rathi, we would like to thank Mr. Mukesh Agarwal, sir, Director (Finance), Mr. Mukesh Chaudhrysir, Director (Marketing), Dubey sir, Company Secretary, Dr. Manjari for coming and thank you for everyone for coming.